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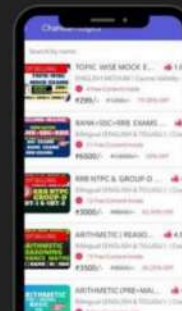
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ECONOMY

Economics is the study of how society allocates scarce resources (land, labour, capital, and entrepreneurship) to produce output (goods and services).

What is the main objective in any economy?

Production of goods and services.

Factors of production are those inputs used in the production process to produce the outputs (finished goods and services).

There are mainly four factors of production. They are (1) Land (2) Labour (3) Physical Capital and (4) Human Capital.

The term economy has been defined by A. J. Brown as, “A system by which people earn their living.” J. R. Hicks defined as, “An economy is a cooperation of producers and workers to make goods and services that satisfy the wants of the consumers.”

The subject Economics is classified into two branches, namely, Micro Economics and Macro Economics.

The terms ‘micro economics’ and ‘macro economics’ were first used in economics by Norwegian economist **Ragner Frisch** in 1933.

John Maynard Keynes is considered the father of macroeconomics

Macro-economics

The branch of economics that studies the behavior and performance of an economy as a whole

It is the study of aggregates such as national output, inflation, unemployment and taxes

The General Theory of Employment, Interest and Money published by Keynes is the basis of modern macro-economics.

Micro-economics

Micro Economics is the study of the economic actions of individual units say households, firms or industries.





Economic System

Economic System refers to the manner in which individuals and institutions are connected together to carry out economic activities in a particular area. It is the methodology of doing economic activities to meet the needs of the society

National Income

National Income is usually defined as the total Value of all final goods and services produced in a country in a particular period (Generally one year).

Following are the measures of National Income-

- (A) GDP (Gross Domestic Product)
- (B) GNP (Gross National Product)
- (C) NNP (Net National Product)
- (D) PI (Personal Income)
- (E) DPI (Disposable Personal Income)

GDP (Gross Domestic Product)-

GDP is the total value of all final goods and services produced within the geographical boundary of the country during a particular period (Generally one year).

In this, we consider all goods/ services, produced by both resident citizens and foreign nationals who reside within the boundary of that country.

Example-

Suppose there are 100 crore Indians who earn RS. 100 crores in Indian territory and 1 crore foreigners who earn RS. 10 crores in Indian territory and send it to their respective countries. At the same time, 10 crores Indians living in foreign countries earn RS. 40 crores and send it to India. Here, GDP is $(100 + 10 = 110)$ crores).

(B) GNP (Gross National Product)-

GNP is defined as the total value of the final goods and services produced by Indians in India as well as abroad during a particular period.

GNP includes the value of goods produced by resident and non-resident citizens of a country whereas the income of foreigners who reside in India is excluded.

Example-

Suppose there are 100 crore Indians who earn 100 crores in Indian territory and 1 crore foreigners who earn 10 crores in Indian territory and send it to their respective countries. At



the same time, 10 crores Indians living in foreign countries earn 40 crores and send it to India.

Here, GNP is $(100 + 40 = 140 \text{ crore})$

We can say $\text{GNP} = \text{GDP} + \text{Net Factor Income from Abroad (Export-Import)}$

$\text{GNP} = 110 + (40 - 10) = \text{Rs. } 140 \text{ crores}$

(Inward remittances come in export and outward remittances in Import)

(C) Net National Product (NNP)-

It is calculated by deducting depreciation from Gross National Product (GNP)

$$\text{NNP} = \text{GNP} - \text{Depreciation}$$

Note-

Factor Cost- Cost incurred to produce goods and service

Market price- For calculating market price we add Indirect taxes and deduct subsidies given by the government in Factor cost.

$\text{Market Price} = \text{Factor cost} + \text{Indirect Taxes} - \text{Subsidy}$

$\text{NNP at factor cost} = \text{NNP at market price} - \text{Indirect taxes} + \text{subsidy}$

Usually, we called NNP at factor cost as National Income.

Likewise, NNP at factor cost, we can also calculate GDP at factor cost.

(D) Personal income-

It is the sum of all the income received by the people of the country in one year.

$\text{Personal Income} = \text{National Income} + \text{Transfer payments} - \text{Undisclosed profits of corporate} + \text{Payment for social security provisions}$

Transfer Payments are the payments that are not against any productive work. (Example- Old Age Pension, Unemployment compensation etc.)

Social Security Provisions- Payment made by employees towards PF, Insurance etc.

(E) Disposable Personal Income-

Income available to individuals after deducting direct taxes.

$\text{Disposable Personal Income} = \text{Personal Income} - \text{Direct Taxes}$

Real Income and Nominal Income-

If we use base year price for calculating National Income, this is called the real income.



If we use particular year (current year) price for calculating National Income, this income is called the Nominal income.

GDP Deflator:-

Used to calculate overall price rise.

Estimation of National Income in India

In 1868, Dadabhai Naoroji wrote a book 'Poverty and Un British Rule in India'. It was the first attempt at the calculation of National Income.

The first person to estimate National Income scientifically was Dr V. K. R. V. Rao who estimated national income for the period 1925-29.

After Independence National Income committee was formed in 1949 under the chairmanship of P.C. Mahalanobis.

After some years Central Statistical Organisation (CSO) was formed.

Overview of Indian Economy

Nehru and other thinkers of the newly independent India sought an alternative to the extreme versions of capitalism and socialism. Combined best features of socialism without its drawbacks. India envisaged as a socialist society with a robust public sector but also with private property and democracy.

Capitalist Economy:

the goods produced are distributed between people, not based on what people need but on the basis of Purchasing Power, i.e. the ability to buy goods and services.

Socialist Economy:

government choose what goods are to be produced a/c to the needs of society.

Mixed Economy:

government and the market together answer the 3 questions:

what to produce,

how to build, and

how to distribute

In this type, the market will provide whatever goods and services it can deliver well, and the government will provide essential goods and services which the market fails to do.

India follows a mixed Economy.

Although India is an agro-based economy but the substantial emphasis has been given on the development of industries (both consumer goods & capital goods), service sector



(including construction, trade, commerce, banking system etc.) and socio-economic infrastructure (viz. education, health, housing power, energy, transport, communication etc.).

On the basis of production:

Primary or Agricultural Sector

This sector comprises of agriculture and its allied activities including dairy, poultry, cattle rearing, fishing, forestry, animal husbandry etc. Regarding the primary sector, most of the goods are produced by using natural resources.

Since India is an overpopulated agro-based economy, hence, this sector plays an important role in economic growth.

(ii) Secondary or Manufacturing Sector:

This sector is also known as the industrial sector. In this sector, all types of manufacturing sector like large-scale, small-scale and tiny scale are included. Small scale industries include clothes, candle, poultry, matchbox, handloom, toys etc.

These units provide huge employment. Whereas large scale industries like iron and steel, heavy engineering, chemicals, fertilizers, shipbuilding etc. contribute a large amount to our gross domestic product.

(iii) Service or Tertiary Sector:

This sector includes different services like transport, communication, banking, insurance, trade and commerce, including both national and international trade.

In addition to these, all the professional services like doctors, engineers, teachers, lawyers etc. come under the service sector. Again the services provided by the government for the welfare of citizens are also included in the tertiary sector.

On the basis of Ownership or Organization:

(i) Public Sector:

It consists of all the economic organizations that are controlled and managed by the government. All the government-owned production units comprise the public sector.

These units are involved in the production and distribution of goods and services among the common mass with an objective of welfare motives.



(ii) Private Sector:

It comprises of all the economic enterprises which are controlled and managed by the private enterprises. All the privately-owned production units make up the private sector.

These units will produce and sell the goods and services to the people with an objective of the profit motive.

On the basis of habitation:

(i) Rural Sector:

According to M.K. Gandhi, “India lives in villages”. About 65% of the total population in India reside in rural areas. The main occupations of the people of this sector are agriculture and allied activities.

(ii) Urban Sector:

One-third of the total population in India live in the urban sector. It consists of towns and cities. People residing in this sector are mainly engaged in either secondary sector or tertiary sector.

Understanding Economics:

Economics is the study of how people in a system allocate scarce resources for the purpose of production, distribution, and consumption, both individually & collectively.

2 major types of economics are:

Microeconomics: focuses on the behaviour of individual consumers and producers, & **Macroeconomics:** examines the overall economies on a regional, national, or international scale.



Microeconomics vs Macroeconomics

Microeconomics

It is the study of economics at an individual, group or company level.

Its emphasis on issues that affect individuals and companies, i.e. studying the supply and demand for a specific product, the production that an individual 'or' business is capable of, or the effects of regulations on business.

Macroeconomics

It is the study of a national economy as a whole.

It focuses on issues that affect the economy as a whole and include unemployment rates, the gross domestic product (GDP) of an economy, and the effects of exports and imports.

Inflation

The general rise in the price level of goods and services.

It is estimated as the percentage rate of change in price index over the reference time period. Currently in India inflation rate is measured with the help of the Consumer Price Index-combined (Base year- 2012).

Till April 2014, the Inflation rate was measured with the help of WPI (Wholesale Price Index).

Rate of Inflation = $\frac{(\text{Current period price index} - \text{Reference period price index})}{(\text{Reference Period Price Index})} \times 100$

Type of Inflation

Based on the rate of rising in Inflation

1. Creeping Inflation

Price rise at the very small rate ($< 3\%$)

It is considered safe and essential for the economy.

2. Walking or Trotting Inflation

Price rise at moderate rate ($3\% < \text{Inflation} < 10\%$)

Inflation at this rate is a warning signal for the Economy.



3. Running Inflation

Price rise at high rate ($10\% < \text{Inflation} < 20\%$)

It affects the economy adversely.

4. Hyperinflation or Galloping Inflation or Runway Inflation

Price rise at very high rate ($20\% < \text{Inflation} < 100\%$)

This situation brings the total collapse of the Economy.

Based on the causes

Demand Pull Inflation: When Inflation arises due to higher demand for goods and services over the limited supply.

Cost-Push Inflation: When Inflation arises due to higher input cost (Example- raw material, wages etc.) for goods and services over the limited supply.

Other definitions

1. Deflation

It is opposite of Inflation.

Reduction of general level of price in an economy.

In this price index measured is negative.

2. Stagflation: When stagnation and inflation coexist in the economy.

3. Stagnation: low national income growth and high unemployment.

4. Disinflation

When the rate of Inflation is at a slower rate.

Example:

If the Inflation of last month was 4 % and the rate of inflation in the current month is 3 %.

5. Reflation:

Deliberate action of government to increase the rate of inflation to redeem the economy from a deflationary situation.

6. Core Inflation:

It is a measure of price rise in the economy excluding the price rise of some products (whose price is volatile and temporary in nature).



Effects of Inflation

Redistribution of income and wealth

Due to the effect of inflation, some group of people loses and another group of people gains.

Example-

In case of debtors and creditors

Debtor- gainer

Creditor- loser

In case of Producers and Consumers

Producer- gainer

Consumer- loser

2. Effects on Production and Consumption

Due to inflation, the demand decreases which curtails the production.

People try to use fewer services which lead to a decrease in consumption.

3. Unfavorable Balance of Payments

Export decreases and import increases from other countries which lead to a decrease in the forex reserve.

Measures to control Inflation

1. Credit control

It is used by RBI.

2. Increase in Direct Taxes

Due to the increase in direct taxes, people have less money available to them and low demand from them leads to a lower price.

3. Price Control

By fixing the maximum price limit by authorities.

4. Trade measures

Maintain proper supply in the economy by export and import of goods and services.

Various weighted price indices are calculated in India.





These are-

1. Wholesale Price Index (WPI)
2. Old Consumer Price Index
 - (a) Consumer Price Index for Industrial Workers (CPI- IW)
 - (b) Consumer Price Index for Urban Non- Manual Employees (CPI- UNME)
 - (c) Consumer Price Index for Agriculture Labourers (CPI-AL)
 - (d) Consumer Price Index for Rural Labourers (CPI- RL)
3. New Consumer Price Index (Introduced in February 2011)
 - (a) CPI (Rural)
 - (b) CPI (Urban)
 - (c) CPI (Combined)
4. Consumer Food Price Index

Till April 2014, the Inflation rate was measured with the help of WPI (Wholesale Price Index).

Currently, in India inflation rate is measured with the help of Consumer Price Index - combined.

1. Wholesale Price Index

It measures the change in the price of commodities traded in the wholesale market.

It is also known as **headline inflation**.

Current base year- 2011-12.

The index basket of the current series has a total of 697 items (117 items for Primary Articles, 16 items for Fuel & Power and 564 items for Manufactured Products.)

Published by- Economic Advisor, Ministry of Commerce & Industry.

2. Old Consumer Price Index

Consumer Price Index for Industrial Workers (CPI- IW)

It measures the change in the price of commodities consumed by industrial workers.

Current base year- 2001

Published by- Labour Bureau

(b) Consumer Price Index for Urban Non- Manual Employees (CPI- UNME)

It measures the change in the price of commodities consumed by Non- Manual Employees.

Published by- CSO (Central Statistics Office, Ministry of Statistics)

It has been **discontinued**.





(c) Consumer Price Index for Agriculture Labourers (CPI-AL)

It measures the change in the price of commodities consumed by agriculture labourers.

It is a subset of CPI-RL.

Current base year- 1986-87

Published by- Labour Bureau

Used for revising minimum wages

(d) Consumer Price Index for Rural Labourers (CPI- RL)

It measures the change in the price of commodities consumed by rural labourers (include agriculture labourers, labourers of village and cottage industries).

Current base year- 1986-87

Published by- Labour Bureau

Used for revising minimum wages.

3. New Consumer Price Index (Introduced in February 2011)

(a) CPI (Rural)-

Current base year- 2012

Published by- CSO (Central Statistics Office, Ministry of Statistics)

(b) CPI (Urban)-

Current base year- 2012

Published by- CSO

(c) CPI (Combined)-

Current base year- 2012

Published by- CSO

Currently, in India inflation rate is measured with the help of Consumer Price Index-combined.

4. Consumer Food Price Index-

It is a measure of change in retail prices of food items consumed by the people.

Current base year- 2012

Published by- CSO

RBI and Monetary Policy

RBI was established in April 1935 under Reserve Bank of India, 1934.

On the recommendation of Hilton-Young Commission.

Central Bank of India which was nationalized in 1949.



Central office initial was established in Calcutta and later moved to Mumbai in 1937.

Official Directors- Governors and not more than four deputy governors.

RBI performs his function under the guidance of the Board of financial supervision.

Board for Financial Supervision (BFS)

Constituted in November 1994. The Board is constituted by co-opting four Directors from the Central Board and is chaired by the Governor.

Important Acts Administered by RBI

- (i) Reserve Bank of India Act, 1934
- (ii) Public Debt Act, 1944/Government Securities Act, 2006
- (iii) Government Securities Regulations, 2007
- (iv) Banking Regulation Act, 1949

The first governor of RBI- Sir Osborne Smith

The first governor of RBI after nationalization- C. D. Deshmukh

First women Deputy Governor of RBI -K.J.Udeshi.

RBI Emblem: Tiger and Palm tree

What is Monetary Policy?

The policy made by the **central bank (Reserve Bank of India)** to control the money supply in the economy.

MPC (Monetary Policy Committee)

The **Monetary Policy Committee** of India is a committee of the Reserve Bank of India that is responsible for fixing the benchmark interest rate in India.

Section 45ZB of the amended RBI Act, 1934 provides for an empowered six-member monetary policy committee (MPC) to be constituted by the Central Government to determine the interest rate that is required to achieve the inflation target.

The MPC is required to meet at least four times in a year.

Six-membered MPC is headed by RBI governor Urjit Patel.

The Members of the Monetary Policy Committee appointed by the Central Government shall hold office for a period of four years.





Various tools/instruments of monetary policy

These can be divided into quantitative and qualitative instruments.

Quantitative instruments

1. Open Market Operations (OMO)

This method refers to the buy and sells of securities, bills and bonds of government by RBI in the open market to expand or contract the amount of money in the banking system.

When RBI purchases Government securities, liquidity increases (because RBI is paying that party some money to buy that security or RBI is pouring additional money into the system).

On the reverse, when RBI sells Government securities, liquidity decreases (because those players are giving their cash to RBI to purchase the securities.)

2. Liquidity Adjustment Facility (LAF)

Liquidity adjustment facilities (LAF) is also a tool used by RBI to control the short-term money supply.

Liquidity adjustment facilities (LAF) has two instruments namely **Repo rate and Reverse RepoRate.**

Repo Rate: The interest rate at which the Reserve Bank provides loans to commercial banks by mortgaging their dated government securities and treasury bills.

Reverse Repo Rate: The interest rate at which the Reserve Bank borrows from commercial banks by mortgaging its dated government securities and treasury bills.

While **repo rate injects liquidity into the system, the Reverse repo absorbs the liquidity from the system.**

3. Marginal Standing Facility (MSF)

It is a loan facility for banks to borrow from the Reserve Bank of India in an emergency when inter-bank liquidity dries up completely.

How is **MSF** different from **Repo rate**?

MSF loan facility was created for commercial banks to **borrow from RBI in emergency conditions when inter-bank liquidity dries up** and there is a volatility in the overnight



interest rates. To curb this volatility, RBI allowed them to deposit government securities and get more liquidity from RBI at a rate higher than the Repo rate.

4. Reserve Ratio (SLR, CRR)

SLR (Statutory liquidity ratio): All commercial banks in the country required to keep a given percentage of their demand and time deposits (Net demand and time liabilities or NDTL) as liquid assets in their vault itself.

It prevents the bank from lending all its deposits which is too risky.

Note: Net Demand and Time Liabilities (NDTL) mainly consist of Time liabilities and Demand liabilities.

Time liabilities include:

- (1) Money deposited in Fixed deposits (FD)
- (2) Cash certificates
- (3) gold deposits etc.

Demand liabilities include:

- (1) Money deposited in the savings account
- (2) Money deposited in the current account
- (3) Demand drafts etc.

Cash Reserve Ratio (CRR): The Cash Reserve Ratio is the amount of funds that the banks are bound to keep with Reserve bank of India as a certain percentage of their Net Demand and Time Liabilities (NDTL). Bank cannot lend it to anyone. Bank earns no interest rate or profit on this.

What happens when CRR is reduced?

When CRR is reduced, this means banks required to keep fewer funds with RBI and resource available to banks for lending will go up.

5. Bank Rate

The bank rate is the rate which is fixed by RBI at which it re-discounts bills of exchange and government securities held by commercial banks.

It is also known as the **discount rate**.

Note:

Bill of exchange- is a financial document that assures payment of money by the purchaser to the seller for goods purchased.

Differences between Repo rate and Bank rate: Repo Rate is a short-term measure on the other hand Bank Rate is a long-term measure.



Qualitative instruments

1. Credit rationing

In this, RBI controlled the maximum amount of credit flow to a certain sector. RBI may also make compulsory for the banks to provide certain fractions of their loans to certain sectors such as priority sector lending etc.

2. Selective Credit control

Selective credit control is a tool in the hands of Reserve Bank of India to restrict bank finance against sensitive commodities.

3. Margin Requirements

RBI can prescribe margin against collateral. **For instance**, lend only 70 Rs. for 100 Rs. value Property, margin requirement being 30%. If RBI raises margin requirement, customers will be able to borrow less.

4. Moral suasion

Moral Suasion refers to a method of request, a method of advice by the RBI to the commercial banks to take certain measures as per the trend of the economy.

5. Direct Action

RBI issues certain guidelines from time to time based on the current situation in the economy. These guidelines should be followed by banks. If any bank violates these guidelines RBI penalizes them.

Introduction of Union Budget

Constitutional Provisions

The Constitution of India has a provision (Article 112) for such a document called Annual financial statement which usually refers to the term Budget.

Introduction of Budget

The budget is a statement of receipt and expenditure of a government in a financial year which begins on 1 April and ends on 31 March.





These receipts and expenditure of the government are in three parts:

1. Consolidated Fund of India
2. Contingency Fund of India
3. Public account of India.

The budget has three sets of data for every concerned sector or sub-sector of the economy.

They are

1. Actual data of the preceding year
2. Provisional data of the current year
3. Budgetary estimates for the following year

The budget contains Estimates of revenue and capital receipts, ways and means to raise the revenue, Estimates of expenditure, the Economic and Financial policy of the coming year, that is, Taxation proposals, spending programme and introduction of new schemes/projects.

Different type of Fund of Government of India

Consolidated fund

The Consolidated fund comprises all revenues received by the government, including the loans raised by it, receipts from recoveries of loans granted by it, tax and other revenues.

This fund was established under Article 266 (1) of the Constitution of India.

Parliament authorization is required for any withdrawn from this fund.

Contingency fund

The Contingency fund is the fund set aside for government to meet emergency expenditures that cannot wait for authorization.

This fund was established under Article 267 of the Constitution of India.

This fund is kept at the disposal of the President.

Public accounts of India

Public accounts comprise money the government gets from various schemes like the small savings schemes or dedicated funds like provident funds, deposits and advances.

This fund was established under Article 266 (2) of the Constitution of India.



Budget in Parliament

- ✓ First, the budget is presented in the Lok Sabha by the Finance Minister and he gives a 'Budget Speech'.
- ✓ Then the general discussion takes place in the house.
- ✓ Afterwards, it sends it to the Rajya Sabha for the discussion.
- ✓ After the discussion is over, the Houses are adjourned for 3 to 4 weeks.
- ✓ During this gap, the 24 departmental standing committees examine and discuss in detail the demands for grants of the concerned ministers and prepare reports on them.
- ✓ With consideration of these reports voting of the demand for grants will take place.
- ✓ The demands are presented ministry-wise.
- ✓ A demand will be granted after it has been voted.
- ✓ Article 113 of the constitutions contain the provisions of demand for grants.
- ✓ Voting of demands for grants is the exclusive privilege of the Lok Sabha, that is, Rajya Sabha, which can only discuss it and has no power to vote.
- ✓ Totally 26 days are allotted for the voting of demands. On the last day, the speaker puts all the remaining demands to vote and disposes of them whether they have been discussed or not. This is called 'Guillotine'.
- ✓ So, the amount which is demanded by Minister cannot get it without the grants voted by the Lok Sabha.





Banking system in India

History of Banking in India (Before & After Independence)

Phases of Indian Banking System

The advancement in the Indian banking system is classified into 3 distinct phases:

1. The Pre-Independence Phase i.e. before 1947
2. Second Phase from 1947 to 1991
3. Third Phase 1991 and beyond

The Pre-Independence Phase i.e. before 1947

This phase is characterized by the presence of a large number of banks (**more than 600**).

Banking system commenced in India with the foundation of **Bank of Hindustan** in Calcutta (now Kolkata) in **1770** which ceased to operate in **1832**.

After that many banks came but were not successful like:

- (1) General Bank of India (1786-1791)
- (2) Oudh Commercial Bank (1881-1958) – the **first commercial bank of India**.

Whereas some are successful and continue to lead even now like:

- (1) **Allahabad Bank** (est. 1865)
- (2) **Punjab National Bank** (est. 1894, with HQ in Lahore (that time))
- (3) **Bank of India** (est. 1906)
- (4) **Bank of Baroda** (est. 1908)
- (5) **Central Bank of India** (est. 1911)

While some others like **Bank of Bengal** (est. 1806), **Bank of Bombay** (est. 1840), **Bank of Madras** (est. 1843) merged into a single entity in **1921** which came to be known as **Imperial Bank of India**.

Imperial Bank of India was later renamed in **1955** as the **State Bank of India**.

In **April 1935**, **Reserve Bank of India** was formed based on the recommendation of **Hilton Young Commission** (set up in **1926**).

In this time period, most of the **bank were small in size and suffered from the high rate of failures**. As a result, public confidence is low in these banks and deposit mobilization was also very slow. People continued to rely on the unorganized sector (moneylenders and indigenous bankers).



2. The second phase from 1947 to 1991

Broadly the main characteristic feature of this phase is the **Nationalization of the bank**. With the view of economic planning, nationalization emerged as the effective measure.

Need for nationalization in India:

- (a) The banks mostly catered to the needs of large industries, big business houses.
- (b) Sectors such as agriculture, small-scale industries and exports were lagging behind.
- (c) The poor masses continued to be exploited by the moneylenders.

Following this, in the year **1949, 1st January** the **Reserve Bank of India was nationalized**. **Fourteen commercial banks** were nationalized on **19th July 1969**. Smt. Indira Gandhi was the Prime Minister of India, during in 1969. The following banks are nationalized:

1. Central Bank of India
2. Bank of India
3. Punjab National Bank
4. Bank of Baroda
5. United Commercial Bank
6. Canara Bank
7. Dena Bank
8. United Bank
9. Syndicate Bank
10. Allahabad Bank
11. Indian Bank
12. Union Bank of India
13. Bank of Maharashtra
14. Indian Overseas Bank

Six more commercial banks were nationalized in April 1980. These are mentioned below:

1. Andhra Bank
2. Corporation Bank
3. New Bank of India
4. Oriental Bank of Commerce
5. Punjab & Sindh Bank
6. Vijaya Bank.

Meanwhile, on the recommendation of **Narasimham committee**, Regional Rural Banks (RRBs) were formed on **Oct 2, 1975**. The objective behind the formation of RRBs was **to serve the large unserved population of rural areas and promoting financial inclusion**.

With a view to meet the specific requirement from the different sector (i.e. agriculture, housing, foreign trade, industry) some apex level banking institutions were also setup like:(a) **NABARD** (est. 1982)

- (b) **EXIM** (est. 1982)
- (c) **NHB** (est. 1988)
- (d) **SIDBI** (est. 1990)



Impact of Nationalization

Improved efficiency in the Banking system – since the public's confidence got boosted. Sectors such as Agriculture, small and medium industries started getting funds which led to economic growth.

Increased penetration of Bank branches in rural areas.

3. Third phase 1991 and beyond

This period saw a remarkable growth in the process of development of banks with the liberalization of economic policies.

Even after nationalization and the subsequent regulations that followed, a large portion of masses is untouched by the banking services.

Considering this, in 1991, **the Narasimham committee** gave its recommendation i.e. to allow the entry of private sector players into the banking system.

Following this, RBI gave license to 10 private entities, out of which few survived the market demands, which are- **ICICI, HDFC, Axis Bank, IndusInd Bank, DCB.**

In **1998**, **the Narsimham committee** again recommended entry of more private players. As a result, RBI gave license to the following newbies:

(a) **Kotak Mahindra Bank (2001)**

(b) **Yes Bank (2004)**

In **2013-14**, 3rd round of bank licensing took place. And in 2015, IDFC bank and Bandhan Bank emerged.

In order to further financial inclusion, RBI also proposed to set up 2 new kinds of banks i.e. **Payment Banks and Small Banks.**

Points to Note

- 1. Allahabad Bank**, established in **1865** – Allahabad Bank is the oldest Public Sector Bank in India having branches all over India and serving the customers for the **last 145 years.**
- 2. Imperial Bank of India** was later renamed in **1955** as the **State Bank of India.**
- 3. Punjab National Bank** is the first bank purely managed by Indians, which was established in Lahore in 1895.
- 4. First Truly Swadeshi bank – Central Bank of India** is called India's First Truly Swadeshi bank, which was established in 1911 and wholly owned and managed by Indians.
- 5. Union Bank of India** was inaugurated by **Mahatma Gandhi in 1919.**
- 6. Osborne Smith** was the first governor of the **Reserve Bank.**
- 7. CD Deshmukh** was the first Indian to be the governor of **Reserve Bank.**



8. The first Indian bank to open overseas branch is **Bank of India**. It established a branch in London in 1946.

9. **State Bank of India** has the maximum number of **overseas branches**.

Banking Structure in India: The current Banking Structure in India has evolved over several decades, is complex, and has been fulfilling the economy's credit and banking needs. In today's Banking Structure in India, there are several layers to cater to the distinct and varied needs of different customers and borrowers. The Banking Structure in India played a critical role in mobilizing deposits and encouraging economic development. The performance and strength of the banking structure improved noticeably after the financial sector reforms (1991).

In this article, we will be looking into the key concepts of the Banking Structure in India including Public Sector Banks, Private Sector Banks & Cooperative Banks system structure, and also the Money market and various components of the money market.

Banking Structure in India

The banking structure is divided into many parts like Capital Market, Money Market, etc.

MONEY

Monetary Economics is a branch of economics that provides a framework for analyzing money and its functions as a medium of exchange, store of value and unit of account. Money is anything that is generally accepted as payment for goods and services and repayment of debts and that serves as a medium of exchange.

Evolution of Money

Barter System

The introduction of money as a medium of exchange was one of the greatest inventions of mankind. Before money was invented, exchange took place by Barter, that is, commodities and services were directly exchanged for other commodities and services.

Goods like skins, salt, rice, wheat, utensils, weapons, etc. were commonly used as money. Such an exchange of goods for goods was known as "Barter System".

Barter system was introduced by Mesopotamia tribes

Metallic Standard

Under the metallic standard, some kind of metal with gold or silver is used to determine the standard value of the money and currency. Their face value is equal to their intrinsic metal value.



Gold Standard

Gold Standard is a system in which the value of the monetary unit or the standard currency is directly linked with gold. The purchasing power of a unit of money is maintained equal to the value of a fixed weight of gold.

Silver Standard

The silver standard is a monetary system in which the standard economic unit of account is a fixed weight of silver

Paper Currency Standard

The paper currency standard refers to the monetary system in which the paper currency notes issued by the Treasury or the Central Bank or both circulate as unlimited legal tender. Its value is determined independent of the value of gold or any other commodity.

The quantity of money in circulation is controlled by the monetary authority to maintain price stability.

Plastic Money

The latest type of money is plastic money. Plastic money is one of the most evolved forms of financial products.

Plastic money can come in many different forms such as Cash cards, Credit cards, Debit cards, Pre-paid Cash cards, Store cards, Forex cards and Smart cards

Crypto Currency

A digital currency in which encryption techniques are used to regulate the generation of units of currency and verify the transfer of funds, operating independently of a Central Bank.

Example: Bitcoin

Important concepts

Barren Money

Money which is not earning any interest

Money which is not invested anywhere

Money which is kept in a safe deposit locker





Fiat Money

Fiat money is one that is declared legal tender. This includes any form of currency in circulation such as paper money or coins. Fiat money is backed by a country's government instead of a physical commodity.

Supply of Money

Money supply means the total amount of money in an economy. It refers to the amount of money which is in circulation in an economy at any given time.

Money supply plays a crucial role in the determination of price level and interest rates.

In India, currency notes are issued by the Reserve Bank of India (RBI) and coins are issued by the Ministry of Finance, Government of India (GOI).

Determinants of Money Supply

Currency Deposit Ratio (CDR)

Reserve deposit Ratio (RDR)

Cash Reserve Ratio (CRR)

Statutory Liquidity Ratio (SLR)

Money Market

In this, borrowing and lending of funds take place up to 1 year.

It is used for short-term credit.

It includes Reserve Bank of India, Commercial Banks, Cooperative Banks, Regional Rural Banks, some NBFC's, etc.

Composition of Money Market

The Indian Money market consists of the organized sector and unorganized sector. But here, we will put a focus on the organized sector.

Organized Sector:

It is divided into two categories:

A. Banking

Classification of Banks based on the schedule of RBI Act 1934

All banks (Commercial Banks, RRB, Cooperative Banks) can be classified into scheduled and non-scheduled banks.



1. Scheduled Banks

Banks those are listed in the second schedule of RBI Act, 1934.

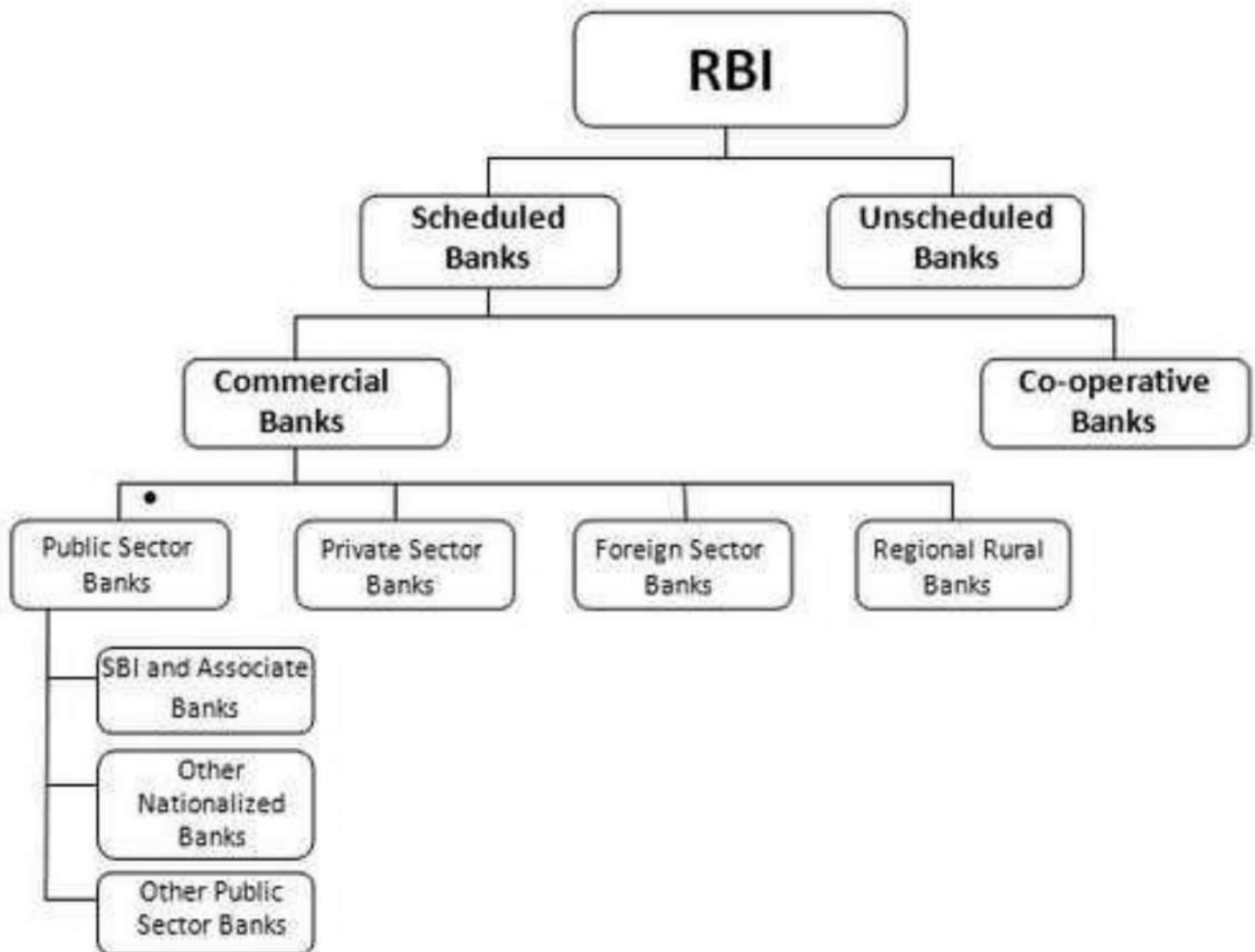
Eligible for obtaining loans from RBI on Bank Rate.

2. Non- Scheduled Banks

Banks that are not listed in the second schedule of RBI Act, 1934.

Generally, not eligible for obtaining loans from RBI.

Keep CRR with itself, not with RBI.



Commercial Banks

It is divided into two parts i.e. Public and Private Sector Banks.

Regulated under Banking Regulation Act 1949.

They can accept deposits, can provide loans and other financial services to earn a profit.



(a) Public Sector Banks

In these banks, the majority of shares (more than 50%) are held by Government.

Currently, in India, there are 21 Public sector banks after the merger of SBI with their associate banks and Bhartiya Mahila Bank (BMB).

The Nationalization of banks was done by the government in two stages:

The **first stage of nationalization took place in July 1969**, in which fourteen banks were nationalized.

The **second stage of nationalization of Banks took place in April 1980**, in which six banks were nationalized.

Objectives of Nationalization of Banks:

1. Reducing Private Monopolies
2. Social Welfare
3. Expansion of Banking Facilities
4. Focus on Priority Sector Lending

(b) Private Sector Banks

In these banks, the majority parts of shares are not held by the government.

Private sector banks consist of both Indian Banks as well as foreign banks.

Private banks which were set up before 1990 (liberalization of the economy) are categorized as Old Banks.

Private banks which were set up after 1990 (liberalization of the economy) are categorized as New Banks.

Local Area Banks- Private Banks which are allowed to operate in the limited area are called local area banks and registered under the companies act, 1956. The minimum capital required for these banks is INR 5 crores.

Regional Rural Banks

Established under RRB Act, 1976.

Regional Rural Banks are set up by public sector banks.

The objective of RRB's is to increase credit flow to rural areas.

After the Kelkar committee's recommendations in April 1987, no new RRBs have been opened.





Cooperative Banks

Established with the aim of funding agriculture, cottage industries, etc.

Can perform both deposits and lending activities.

NABARD (National Bank for Agriculture and Rural Development) is the apex body of the cooperative sector in India.

Composition of Cooperative Banks

1. Rural Cooperative Credit Institutions

(a) Short Term Structure

Lend up to one year.

It is further divided into a three-tiered setup.

(i) State Cooperative Bank: Apex body for cooperative banks in the state.

(ii) Central or District Cooperative Banks: Operate at the district level.

(iii) Primary Agriculture Credit Societies: Operate at the village level.

(b) Long-Term Structure

Lend for more than one year to twenty-five years.

It is divided into a two-tiered setup:

(i) State Cooperative Agriculture and Rural Development Banks and

(ii) Primary Cooperative Agriculture and Rural Developments Banks

2. Urban Cooperative Credit Institutions

Set up in urban and semi-urban areas.

Lend to small businesses and borrowers.

Sub Markets

Sub Market, market to generate resources for investment and to meet the shortage of money for regular activities.

The government, Financial Institutions, and Industries take part in the submarket.

The composition of the Sub Market-

(i) Call Money Market

Known as Short Notice Market.

Generally used for inter-bank borrowing and lending.

Loans for a range from one to fourteen days.





It is also divided into two categories-

A. Call market or Overnight Market (Within one Day)

B. Short Notice market (up to fourteen days)

(ii) Bill Market or Discount Market

(a) Treasury Bills

Issued by Government treasury.

Used for short-term credit.

Non-interest bearing (Zero Coupon bonds), issued at discount price.

(b) Commercial Bill Market

Bills other than treasury bills.

Issued by traders and industries.

(iii) Dated Government Securities

Used for long-term maturity.

(iv) Certificates of Deposits

Issued by commercial banks and financial Institution

(v) Commercial Paper

Issued by corporate, Primary dealers, and financial institutions.

Public Sector Undertakings(PSUs) in India

Public sector undertaking (PSU) are those organizations that are financed, controlled and owned by the Government of India or the State Government. These organizations (PSUs) are controlled either by the Central Government or State Government or Local Authorities.

These organizations (PSUs) play a very important role in the economic development of the nation. After the independence in 1947 itself, the public sector undertakings (PSUs) were given the huge responsibility to formulate the infrastructure for other sectors of the economy and provide essential goods and services for the economy.

Role of PSUs in India:

The share of public sector enterprises has increased from 8% in 1960-61 to 25% in 2011-12, which a huge increase in terms of economic growth.

The presence of Public Sector Enterprises in the area of mineral and metal extraction, steel, power, coal and petroleum has been remarkable even today.



Some sectors like coal and mining are still with the Government with a larger share and control.

Public sector Enterprises has helped in shaping the diversification of Indian industries at the time of need and has been successful.

In the sectors of steel and fertilizer, also the Public Sector Enterprises has played a leading role and has still held the sector for the overall economic growth.

Public sector Enterprises have helped in channelization of savings in the country and their investment at a later stage.

Public Sector Enterprises have helped in reducing economic and regional disparities. Public sector Enterprises provided the required infrastructure needed for the economic growth of the country.

Public Sector Enterprises have given a path for many sectors and strengthened the economic structure of the country.

Merger Of Banks in India

LIST OF MERGERS OF PSB's IN THE RECENT PERIOD:

The four Mergers includes the following:

MERGER 1- Punjab National Bank + Oriental Bank of Commerce + United Bank of India

MERGER 2- Canara Bank + Syndicate Bank

MERGER 3- Union Bank of India + Andhra Bank + Corporation Bank

MERGER 4- Indian Bank + Allahabad Bank

Merger 1 is considered to be the second-largest PSB after SBI. Merger 2, Merger 3 and Merger 4 will be the fourth, fifth and seventh largest PSB respectively.

It is necessary to protect the financial system, the depositor's money, to bridge the geographical gaps, helps to face competitions, etc. In India, PSBs are fragmented, especially in comparison with other key economies. Mergers will help PSBs to build capacity to meet credit demand and sustain economic growth along with protecting the financial system and depositor's money.

As per the government, three broad gains out of the current mergers are:

increased capacity to lend

strong national presence, global reach

operational efficiency gains to reduce the cost of lending.

Financial Market

A financial market plays a vital role in the economic growth of a country. It acts as an intermediary between the flow of funds which belong to those who save a part of their



incomes and those who invest in the productive assets. It helps in mobilisation and usefully allocating scarce resources of a country.

Introduction to Financial Market

The Indian financial system can also be broadly classified into:

Formal (organised) financial system: It comes under the purview of the Ministry of Finance (MoF), Reserve Bank of India (RBI), Securities and Exchange Board of India (SEBI), and other regulatory bodies.

Informal (unorganized) financial system: It consists of the Individual moneylenders such as neighbours, relatives, landlords, traders, and store owners.

Dividing the Financial Market on the basis of time

Capital Market

Money Market

Regulator of Money Market

RBI – Reserve Bank of India

1st April 1935 (Reserve Bank of India Act, 1934)

Headquarters – Mumbai

Governor – Shaktikanta Das (25th Governor of RBI)

Regulator of Capital Market

SEBI – Securities and Exchange Board of India

Establishment – 12th April 1992 (Securities and Exchange Board of India Act, 1992.)

SEBI was established in 1988 to regulate the functions of securities market but initially, it was not able to exercise complete control over the stock market transactions as it was left as a watchdog to observe the activities and was found ineffective in regulating & controlling them. In May 1992, SEBI was granted legal status.

SEBI is a corporate body having a separate legal existence and perpetual succession.

The head office of SEBI is in Mumbai and it has a branch office in Kolkata, Chennai & Delhi.

CAPITAL MARKET

Primary Market

Secondary Market

Primary Market





Also known as New Issues Market.

It is a market for fresh capital and deals with new securities being issued for the first time.

A company can raise capital through the primary market in the form of equity shares preference shares, debentures, loans and deposits.

Funds are mobilized in the primary market through the prospectus, rights issues and private placement.

Merchant Banker

A merchant banker should be registered with the SEBI [SEBI (Merchant Bankers) Regulations, 1992] to act as a book running lead manager (BRLM) to an issue.

The lead merchant banker performs most of the pre-issue and post-issue activities.

Pre-issue activities - due diligence of the company's management/ business plans etc., drafting and designing offer document, finalizing the prospectus, ensuring compliance with requirements of the exchanges and ROC.

INFLATION AND BUSINESS CYCLE

INFLATION:

Inflation is a consistent and appreciable rise in the general price level. In other words, inflation is the rate at which the general level of prices for goods and services is rising and consequently the purchasing power of currency is falling.

The rate of inflation is measured on the basis of price indices which are of two kinds—Wholesale Price Index(WPI) and Consumer Price Index (CPI).

Types of Inflation (Based on demand and supply)

Demand-Pull Inflation

Demand and supply play a crucial role in deciding the inflation levels in the society at all points of time. For instance, if the demand is high for a product and supply is low, the price of the products increases

Cost-Push Inflation:

When the cost of raw materials and other inputs raises inflation results. Increase in wages paid to labour also leads to inflation.



Types of Inflation (On the basis of speed)

Creeping Inflation or Low Inflation

Creeping inflation is slow-moving and very mild. The rise in prices will not be perceptible but spread over a long period.

Low inflation or Creeping inflation takes place in a longer period and the range of increase is usually in 'single-digit'.

This type of inflation is in no way dangerous to the economy. This is also known as mild inflation.

Walking Inflation:

When prices rise moderately and the annual inflation rate is a single digit (3% - 9%), it is called walking or trolling inflation.

Running Inflation:

When prices rise rapidly like the running of a horse at a rate of speed of 10% - 20% per annum, it is called running inflation.

Galloping Inflation

This is a 'very high inflation' running in the range of double-digit or triple-digit (20%, 100%, 200 per cent in a year).

Hyperinflation

This form of inflation is 'large and accelerating' which might have the annual rates in million or even trillion. In such inflation not only the range of increase is very large, but the increase takes place in a very short span of time, prices shoot up overnight.

Types of inflation (on the basis of inducement)

Credit inflation

When banks are liberal in lending credit, the money supply increases and thereby rising prices.

Currency inflation

The excess supply of money in circulation causes rise in price level.

This type of inflation is caused by the printing of currency notes.





Deficit induced inflation

The deficit budget is generally financed through printing of currency by the Central Banks. As a result, prices rise

Tax induced inflation

Increase in indirect taxes like excise duty, custom duty, GST and sales tax may lead to rise in price (Ex. petrol and diesel). This is called **tax induced inflation**.

Scarcity induced inflation

The scarcity of goods happens either due to a fall in production (Ex. farm goods) or due to hoarding and black marketing. This also pushes up the price.

Profit induced inflation

When the firms aim at higher profit, they fix the price with a higher margin. So prices go up

Causes of Inflation

The main causes of inflation are as follows:

Increase in Money Supply

Inflation is caused by an increase in the supply of money which leads to increase in aggregate demand. The higher the growth rate of the nominal money supply, the higher is the rate of inflation.

Increase in Consumer Spending:

The demand for goods and services increases when they are given credit to buy goods on hire-purchase and installment basis.

Increase in Exports

When exports are encouraged, domestic supply of goods declines. So prices rise.

Repayment of Public Debt

Whenever the government repays its past internal debt to the public, it leads to an increase in the money supply with the public. This tends to raise the aggregate demand for goods and services.

Deficit Financing

Deficit financing may lead to inflation.

Deficit refers to the difference between expenditure and receipts. In public finance, it means the government is spending more than what it is earning. Due to deficit financing, money supply increases & the purchasing power of the people also increases. This raises aggregate demand in relation to aggregate supply, thereby leading to an inflationary rise in prices.



Cheap Money Policy

Cheap money policy means making money available to trade and industry at a cheaper interest rate. Cheap money policy leads to an increase in the money supply which raises the demand for goods and services in the economy.

Increase in Disposable Income

Disposable Income is also known as Disposable personal income. It is the individual's income after the payment of income tax.

Disposable Income = Personal income – Direct Tax

When the disposable income of the people increases, it raises their demand for goods and services.

Black Assests, Activities and Money

The existence of black money and black assets due to corruption, tax evasion, etc., increases the aggregate demand. People spend such money, lavishly. Black marketing and hoarding reduce the supply of goods. These trends tend to raise the price level further.

Effects of Inflation

On Debtors and Creditors:

During inflation, debtors are the gainers while the creditors are losers. The reason is that the debtors had borrowed when the purchasing power of money was high and now repay the loans when the purchasing power of money is low due to rising prices.

The opposite effect takes place when inflation falls (i.e., deflation).

On Employment

Inflation increases employment in the short-run, but becomes neutral or even negative in the long run.

On Import

Inflation gives an economy the advantage of lower imports and import substitution as foreign goods become costlier. But in the case of compulsory imports (i.e., oil, technology, drugs, etc.) the economy does not get this benefit and loses more foreign currency instead of saving it.

Inflation increases exchange rates and makes all the imports costlier.

On Export

With inflation, exportable items of an economy gain competitive prices in the world market. Due to this, the volume of export increases, and thus export income increases in the economy.





A high rate of inflation will hit hard the export industry in the economy. The cost of production will rise and the exports will become less competitive in the international market. Inflation can heavily impact the imports and exports of a country

On Trade Balance

In the case of a developed economy, inflation makes trade balance favorable, while for the developing economies inflation is unfavorable for their balance of trade. This is because of composition of their foreign trade.

If compulsory imports are more inflation act as a disadvantage

Fixed-income Groups

The fixed incomes groups are the worst hit during inflation because their incomes being fixed do not bear any relationship with the rising cost of living. Examples are wage, salary, pension, interest, rent etc.

Investors

The investors, who generally invest in fixed interest yielding bonds and securities, have much to lose during inflation. On the contrary those who invest in shares stand to gain by rich dividends and appreciation in value of shares.

Effects on Production

When inflation is very moderate, it acts as an incentive to traders and producers. The profit due to rising prices encourages and induces business class to increase their investments in production, leading to generation of employment and income

On Exchange Rate

The currency with the higher inflation rate then loses value and depreciates, while the currency with the lower inflation rate appreciates on the Forex market.

Measures to Control Inflation

Some of the important measures to control inflation are as follows:

- ✓ Monetary Measures
- ✓ Fiscal Measures
- ✓ Other Measures.
- ✓ Monetary Measures



The most important method of controlling inflation is monetary policy of the Central Bank of the country.

They are (i) Increase in Bank rate (ii) Sale of Government Securities in the Open Market (iii) Higher Cash Reserve Ratio (CRR) and Statutory Liquidity Ratio (SLR) (iv) Consumer Credit Control and (v) Higher margin requirements (vi) Higher Repo Rate and Reverse Repo Rate. Monetary policy can only be helpful in controlling inflation due to demand-pull factors.

Fiscal Measures

Fiscal policy is now recognized as an important instrument to tackle an inflationary situation.

The major anti-inflationary fiscal measures are the following:

- ✓ Reduction of Government Expenditure
- ✓ Public Borrowing
- ✓ Enhancing taxation.
- ✓ Surplus budgets
- ✓ Increase in savings
- ✓ Other Measures
- ✓ To Increase Production One of the foremost measures to control inflation is to increase the production
- ✓ Wage and Price Controls Wage and price controls help in controlling wages as the price increases

OTHER IMPORTANT TERMS

Deflation

The essential feature of deflation is falling prices, reduced money supply and unemployment. Though falling prices are desirable at the time of inflation, such a fall should not lead to the fall in the level of production and employment. But if prices fall from the level of full employment both income and employment will be adversely affected.

Stagflation

Stagflation is a combination of stagnant economic growth, high unemployment and high inflation.

Disinflation

Disinflation is the slowing down the rate of inflation by controlling the amount of credit available to consumers without causing more unemployment. Disinflation may be defined as the process of reversing inflation without creating unemployment or reducing output in the economy



INFLATION IN INDIA

India calculates its inflation on two price indices; these are

The wholesale price index (WPI)

The consumer price index (CPI).

WPI is measured on a weekly basis. The first index of wholesale prices commenced in India for the week of January 10, 1942. The base year of WPI is revised periodically. The current WPI base year is 2011-12 based on the prices of 697 commodities.

India has been measuring inflation at the consumer prices also besides at the wholesale prices. But in place of a single consumer price index, India managing with four different set of the CPIs due to the socio-economic

differentiations found among the consumers. These are: CPI-IW (Industrial Worker), CPI-UNME (Urban Non-Manual Employees), CPI-RL (Rural Labourers) and CPI-AL (Agricultural Labourers).

BUSINESS CYCLE

The economic activity in a capitalist economy will have its periodic ups and downs. The study of these ups and downs is called the study of Business cycle or Trade cycle or Industrial Fluctuation.

Meaning of business Cycle

A business cycle refers to oscillations in aggregate economic activity particularly in employment, output, income, etc. It is due to the inherent contraction and expansion of the elements which energize the economic activities of the nation. The fluctuations are periodical, differing in intensity and changing in its coverage.

The four different phases of the business cycle are referred to as (i) Boom (ii) Recession (iii) Depression and (iv) Recovery

Boom

A strong upward fluctuation in the economic activities is called boom.

The full employment and the movement of the economy beyond full employment are characterized as boom period. During this period, there is hectic activity in the economy. Money wages rise, profits increase and interest rates go up. The demand for bank credit increases and there is all-round optimism.





Recession

The turning point from boom condition is called recession. This happens at higher rate, than what was earlier. Generally, the failure of a company or bank bursts the boom and brings a phase of recession. Investments are drastically reduced, production comes down and income and profits decline. There is panic in the stock market and business activities show signs of dullness. Liquidity preference of the people rises and money market becomes tight.

Depression

During the depression, the level of economic activity becomes extremely low. Firms incur losses and closure of business becomes a common feature and the ultimate result is unemployment. Interest prices, profits and wages are low. The agricultural class and wage earners would be worst hit. Banking institutions will be reluctant to advance loans to businessmen.

Depression is the worst phase of the business cycle. The extreme point of depression is called as “trough”, because it is a deep point in business cycle.

Keynes advocated that autonomous investment of the government alone can help the economy to come out from the depression.

Recovery

This is the turning point from depression to revival towards an upswing. It begins with the revival of demand for capital goods.

Autonomous investments boost the activity. The demand slowly picks up and in due course the activity is directed towards the upswing with more production, profit, income, wages and employment. Recovery may be initiated by innovation or investment or by government expenditure



ECONOMIC PLANNING IN INDIA

Economic planning is a process under which attempts are made to achieve desired targets of economic development within a specified period of time.

After Independence of India, in 1948, a declaration of industrial policy was announced. The policy suggested the creation of a National Planning Commission and the elaboration of the policy of a mixed economic system.

The evolution of planning in India is stated below:

Sir M. Vishveshwarya (1934): a prominent engineer and politician made his first attempt in laying foundation for economic planning in India in 1934 through his book, “**Planned Economy of India**”. It was a 10 year plan.

Jawaharlal Nehru (1938): set-up “**National Planning Commission**” by a committee but due to the changes in the political era and 2nd World War, it did not materialize.

Bombay Plan (1940): The 8 leading industrialists of Bombay presented “Bombay Plan”. It was a 15 Year Investment Plan.

S. N Agarwal (1944) gave the “**Gandhian Plan**” focusing on the agricultural and rural economy.

M.N. Roy (1945) drafted ‘**People’s Plan**’. It was aiming at mechanization of agricultural production and distribution by the state only.

J.P. Narayan (1950) advocated, “**Sarvodaya Plan**” which was inspired by Gandhian Plan and with the idea of Vinoba Bhave. It gave importance not only for agriculture, but encouraged small and cottage industries in the plan.

Planning Commission

Planning Commission was set up to formulate Five Year Plan in India

The Planning Commission was created on March 15, 1950, and the plan era began on April 1, 1951, with the launch of the first five-year plan (1951-56).

Jawaharlal Nehru was the first Chairman of Planning Commission

The Planning Commission has been replaced by the NITI Aayog on 1st January 2015.

India’s Five Year Plans

The concept of economic planning in India or five year plan is derived from Russia

India has launched 12 five year plans so far. The twelfth five-year plan was the last one in five-year plans

The government of India has decided to stop the launching of five year plans and it was replaced by NITI Aayog.



First Five Year Plan (1951-1956)

This plan was based on the Harrod-Domar Model.

Its main focus was on the agricultural development of the country.

Many irrigation projects including Bhakra-Nangal Dam and Hirakud Dam were started in the first five-year plan.

About 44.6 percent of the plan outlay went in favour of the public sector undertakings (PSUs).

The community development projects were started

This plan was successful and achieved the GDP growth rate of 3.6% (more than its target)

Second Five Year Plan (1956-1961)

It was based on the P.C. Mahalanobis Model.

Its main focus was on the industrial development of the country. Second to transports and communication

Steel plants at Bhilai, Durgapur, and Rourkela were established during this plan

This plan was successful and achieved the growth rate of 4.1%. Due to the assumption of a closed economy, a shortage of food and capital were felt during this Plan.

Third Five Year Plan (1961-1966)

Third Five Year Plan is called 'Gadgil Yojna' also

The main target of this plan was to make the economy independent and to reach self-propelled position or take off.

The plan aimed to increase national income by 30 % and agriculture production by 30 %

Due to Indo-China war, this plan could not achieve its growth target of 5.6%

Plan Holiday or Three Annual (1966-1969)

The main reason behind the plan holiday was the Indo-Pakistan war & failure of third plan.

During this period, annual plans (1966-1967, 1967-1968 & 1968-1969) were made and equal priority was given to agriculture, its allied sectors and the industry sector

Fourth Five Year Plan (1969-1974)

There are two main objectives of this plan i.e. growth with stability and Progressive achievement of self-reliance

Fourteen Major Indian Banks were nationalised

This plan failed and could achieve growth rate of 3.3% only, against the target of 5.7%.

Fifth Five Year Plan (1974-1979)

In this plan top priority was given to agriculture, next came industry and mines.

The plan also focused on poverty alleviation and self-reliance

The Twenty Point Programme (TPP) was launched by the Government of India in 1975.

Prime Minister Indira Gandhi launched this programme.



Overall this plan was successful, which achieved the growth rate of 4.8% against the target of 4.4%.

The draft of this plan was prepared and launched by D.P. Dhar. This plan was terminated by Janata party government in 1978.

Rolling Plan

The Janta Government terminated the fifth five-year plan in 1977-78 and launched its own sixth five year plan for period 1978-83.

In 1980, there was again a change of government at the Centre with the return of the Congress which abandoned the Sixth Plan of the Janata Government in the year 1980 itself.

The new government launched a fresh new Sixth Plan for the period 1980–85.

The plan (1978-1980) is called Rolling plan

Sixth Five Year Plan (1980-1985)

The basic objective of this plan was poverty eradication and technological self-reliance

This Plan (1980–85) was launched with the slogan of ‘**Garibi Hatao**’

The plan gave emphasis on socio-economic infrastructure in the rural areas and also focused on eliminating rural poverty and regional disparities

Its growth target was 5.2% but it achieved 5.7%.

Seventh Five Year Plan (1985-1990)

The Plan (1985- 90) emphasised on rapid food grain production, increased employment creation and productivity in general.

The Jawahar Rozgar Yojana (JRY) was launched in 1989 with the motive to create wage employment for the rural poor.

The plan also focused on growth, modernisation, self-reliance and social justice

Its growth target was 5.0% but it achieved 6.0%.

Two Annual Plans

Eighth five year Plan could not take place due to volatile political situation at the centre. So two annual programmes are formed in 1990-91 & 1991-92.

The two consecutive Annual Plans (1990–92) were formulated within the framework of the approach to the Eighth Plan (1990–95) with the basic thrust on maximisation of employment and social transformation

Eighth Five Year Plan (1992-1997)

In this plan the top priority was given to development of the human resources i.e. employment, education and public health.





During this plan, New Economic Policy of India was introduced.
The Eighth Plan (1992–97) was launched in a typically new economic environment
This plan was successful and got annual growth rate of 6.8% against the target of 5.6%.

Ninth Five Year Plan (1997-2002)

The main focus of this plan was “growth with justice and equity”.
This five-year plan gave priority to Agriculture and Rural Development with a view to generating adequate productive in employment and eradication of poverty
Ensuring food and nutritional security for all
The plan emphasizes seven minimum services which include Safe drinking water, Primary health service, Universalization of primary education, and Nutritional support to children.
This plan failed to achieve the growth target of 7% and Indian economy grew only at the rate of 5.6%.

Tenth Five Year Plan (2002-2007)

This plan aimed to double the per capita income of India in the next 10 years.
This five-year plan aims to achieve 8 percent average GDP growth for the period (2002-07)
Reduction in gender gaps in literacy and wages rates by at least 50% by 2007
It aimed to reduce the poverty ratio to 15% by 2012.
Increased emphasis on the social sector (education, health, etc.)
Its growth target was 8.0% but it achieved only 7.2%.

Eleventh Five Year Plan (2007-2012)

The Plan targets a growth rate of 10 percent and emphasizes the idea of ‘faster and more inclusive growth’.
Prepared by C.Rangarajan
Its growth rate target was 8.1% but it achieved only 7.9%

Twelfth Five Year Plan (2012-2017)

Its main theme is “Faster, More Inclusive and Sustainable Growth”.
Provide electricity to all villages
Connect all villages with all-weather roads
Provide access to banking services to 90 percent Indian households
Its growth rate target is 8%.



NITI Aayog

NITI Aayog (National Institution for Transforming India) was formed on January 1, 2015 through a Union Cabinet resolution. NITI Aayog is a policy **think-tank** of the Government of India

The NITI Aayog is the new planning body replacing Planning Commission in India.

NITI Aayog serves as a knowledge hub and monitors progress in the implementation of policies and programmes of the Government of India.

The Prime Minister is the Chairperson of NITI Aayog and Union Ministers will be Ex-officio members. The Vice-Chairman is the functional head of NITI Aayog

Structure of the NITI

Chairman: the Prime Minister of India (ex-officio).

Governing Council: will comprise the Chief Ministers of all states and Lt. Governors of union territories.

Vice-Chairperson—to be appointed by the PM (First Vice Chairman was **Arvind Panangariya**).

Members: all as full-time.

Part-time Members: maximum of 2, from leading universities, research organisations and other relevant institutions in an ex-officio capacity.

Ex-Officio Members: maximum of 4 members of the Union Council of Ministers to be nominated by the PM.

Chief Executive Officer: to be appointed by the PM for a fixed tenure, in the rank of Secretary to the Government of India.

Functions of NITI Aayog

Cooperative and Competitive Federalism: To enable the States to have active participation in the formulation of national policy.

Decentralized Planning: To restructure the planning process into a bottom-up model.

Vision and Scenario Planning: To design medium and long-term strategic frameworks towards India's future.

Internal Consultancy: It provides internal consultancy to Central and State governments on policy and programmes.

Monitoring and Evaluation: It will monitor the implementation of policies and programmes and evaluate the impacts.

Agriculture is one of the most important sectors in India. It accounts for around 18% of GDP. According to a survey published by the Ministry of Labor and Employment, the sector employs 45.7% of the workforce in 2014-15. Almost all varieties of crops are produced in the country due to the diverse climatic conditions. The production increased substantially after the green revolution in the 1970s when HYV (High Yielding Varieties) of seeds were introduced. However, the sector is under distress for last few years with an increasing number of farmers suicides, decreasing remuneration, etc.



TAX STRUCTURE IN INDIA

Tax is a compulsory payment by the citizens to the government to meet the public expenditure. It is legally imposed by the government on the taxpayer and in no case, taxpayers can refuse to pay taxes.

Example: Income tax, Corporate tax, Sales tax

Modern economics defines tax as a mode of income redistribution.

Direct Tax

Direct tax is referred to as the tax, levied on person's income and wealth and is paid directly to the government.

Example: Income tax, Corporate tax, etc.

Indirect Tax

Indirect Tax is referred to as the tax, levied on a person who consumes the goods and services and is paid indirectly to the government.

Example: Sales Tax, Entertainment Tax, Service Tax etc.

Methods of Taxation

There are three methods of taxation prevalent in economies with their individual merits.

These are

Regressive taxation

Proportional taxation

Progressive taxation

Progressive taxation

A progressive tax is a tax that imposes a lower tax rate on low-income earners compared to those with a higher income, making it based on the taxpayer's ability to pay.

That means it takes a larger percentage from high-income earners than it does from low income individuals.

Indian income tax is a typical example of Progressive tax. The idea here is less tax on the people who earn less and higher taxes on the people who earn more.

This is the most popular taxation method in the world and a populist one, too





Regressive taxation

A regressive tax is a tax applied uniformly, taking a larger percentage of income from low-income earners than from high-income earners. It is in opposition to a progressive tax. This method while appreciated for rewarding the higher producers or income earners is criticised for being more taxing on the poor and low-producers.

Proportional taxation

A proportional tax system also referred to as a flat tax system, assesses the same tax rate on everyone regardless of income or wealth.

The sales tax is one of the best examples of proportional tax because all consumers regardless of income pay the same fixed rate.

TAXATION IN INDIA

Article 256 of the constitution of India states that “No tax shall be levied or collected except by the authority of law”. Hence, each and every tax that is collected needs to be backed by an accompanying law.

The taxation system in India is such that the taxes are levied and collected by the Central Government and the State Governments. Some minor taxes are also levied and collected by the local authorities such as the Municipality and the Local Governments.

Major Central Taxes

Income Tax

Central Goods & Services Tax (CGST)

Integrated Goods & Services Tax (IGST)

Customs Duty

Corporate tax

Gift Tax

Major State Taxes

State Goods & Services Tax (SGST)

Stamp Duty & Registration

Professional tax

Local Bodies Taxes

Property tax

Water tax

The tax structure in India is divided into direct and indirect taxes





Direct Taxes

A direct tax is referred to as a tax levied on person's income and wealth and is paid directly to the government; the burden of such tax cannot be shifted.

The tax is progressive in nature. It is levied according to the paying capacity of the person, i.e. the tax is collected more from the rich and less from the poor people.

The plans and policies of the Direct Taxes are being recommended by the Central Board of Direct Taxes (CBDT) which is under the Ministry of Finance, Government of India.

Example: Income-tax, corporation tax, property tax and gift tax

Merits of Direct Taxes

Direct taxes are progressive i.e. rate of tax varies according to tax base. For example, income tax satisfies the canon of equity.

The cost of collection of direct taxes is relatively low. The tax payers pay the tax directly to the state.

Direct taxes also satisfy the canon of elasticity. Income tax is income elastic in nature.

As income level increases, the tax revenue to the Government also increases automatically.

Direct tax helps in controlling the inflation.

Demerits of Direct Taxes

Direct tax adversely affects productivity. Citizens are not willing to earn more income because in that case they have to pay more taxes.

The burden of direct tax is so heavy that tax payers always try to evade taxes. This leads to the generation of black money, which is harmful to the economy.

Indirect Tax

Indirect Tax is referred to as a tax charged on a person who purchases the goods and services and it is paid indirectly to the government. The burden of tax can be easily shifted to another person. It is levied on all persons equally whether rich or poor. Example: GST, Customs Duty, etc.

Merits of Indirect Taxes

All the consumers, whether they are rich or poor, have to pay indirect taxes. For this reason, it is said that indirect taxes can cover more people than direct taxes.

The Government imposes indirect taxes on those commodities which are harmful to health e.g. tobacco, liquor etc. They are known as sin taxes.

Demerits of Indirect Taxes

Indirect taxes are sometimes unjust and regressive in nature since both rich and poor persons have to pay same amount as taxes irrespective of their income level.

Indirect taxes are less elastic compared to direct taxes. As indirect taxes are generally proportional.



GST (Goods and Service Tax)

GST is an Indirect Tax which has replaced many Indirect Taxes in India

GST is one indirect tax for the entire country.

The Goods and Service Tax Act was passed in the Parliament on 29th March 2017. The Act came into effect on 1st July 2017. The motto is one nation, one market, one tax.

Goods & Services Tax in India is a comprehensive, multistage, destination-based tax that is levied on every value addition.

GST is one of the biggest indirect tax reforms in the Country.

Destination Based

GST is a destination-based tax

Example: Consider goods manufactured in Telangana and are sold to the final consumer in Karnataka. Since Goods & Service Tax is levied at the point of consumption, in this case, Karnataka, the entire tax revenue will go to Karnataka and not Telangana.

Components of GST

Components of GST The component of GST are of 3 types. They are: CGST, SGST & IGST.

CGST: Collected by the Central Government on an intra-state sale (Eg: Within state/ union territory)

SGST: Collected by the State Government on an intra-state sale (Eg: Within state/ union territory)

IGST: Collected by the Central Government for inter-state sale (Eg: Maharashtra to Karnataka)

The tax structure under the GST regime will be as follows

Transaction	New Regime	Old Regime	Remarks
Goods or services (Sale within the State)	CGST + SGST	VAT + Central Excise/Service tax	1. Revenue will be shared equally between the Centre and the State



Goods or services (Sale to another State)	IGST	Central Sales Tax + Excise/Service Tax	IGST tax is levied when there is an inter-state transfer of goods and services. The Central Government will then share the IGST revenue based on the destination of goods
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Other important Details:

The GST is applicable on all goods and services other than following:

Alcoholic liquor for human consumption

Petroleum products (Petroleum crude, high-speed diesel, motor spirit, natural gas and aviation turbine fuel).

Single Tax to replace multiple levies, right from manufacturer/supplier to consumer. GST incorporates many of the indirect taxes levied by states and the central government. The following is the list of indirect taxes in the pre-GST regime:

State VAT/Sales Tax

Central Sales Tax

Purchase Tax

Luxury Tax

Entertainment and Amusement Tax

Central Excise Duty

Service Tax

Additional Duties of Customs

Additional Duties of Excise

Taxes on advertisements

Taxes on lotteries, betting, and gambling

Current GST Rates in India

Currently, the GST rate in India for various goods and services is divided under 7 slabs; these are 0% (Nil)GST, 0.25%GST, 3%GST, 5% GST, 12% GST, 18% GST, and 28% GST

Advantages of GST

Removing cascading tax effect

Single point tax

Regulating the unorganized sector

Online simpler procedure under GST

Increased efficiency in logistics





EXTERNAL SECTOR IN INDIA

□ All economic activities of an economy which take place in foreign currency fall in the external sector such as export, import, foreign investment, external debt, the balance of payment, current account, capital account, etc

TRADE

□ Trade is one of the powerful forces of economic integration. The term 'trade' means exchange of goods, wares or merchandise among people.

THE BALANCE OF PAYMENTS

- The Balance Of Payments (BoP) records the transactions in goods, services and assets between residents of a country with the rest of the world for a specified time period typically a year. Basically, it is the net outcome of the current and capital accounts of an economy
- There are two main accounts in the Balance Of Payments (BoP) — the current account and the capital account.

CURRENT ACCOUNT

□ Current Account is the record of trade in goods and services and transfer payments.
□ It includes all international trade transactions of goods and services, international service transactions (i.e. tourism, transportation and royalty fees) and international unilateral transfers (i.e. gifts and foreign aid).

- Trade in goods includes exports and imports of goods
- Trade in services includes factor income and non-factor income transactions
- Transfer payments are the receipts which the residents of a country get for 'free', without having to provide any goods or services in return. They consist of gifts, remittances and grants. They could be given by the government or by private citizens living abroad.

Balance on Current Account

□ Current Account is in balance when receipts on current account are equal to the payments on the current account.

1. Receipts = Payments (Balanced Current Account)

□ A surplus current account means that the nation is a lender to other countries and a deficit current account means that the nation is a borrower from other countries.

1. Receipts > Payments (Current Account Surplus)

2. Receipts < Payments (Current Account Deficit)

□ Balance on Current Account has two components:

1. Balance of Trade or Trade Balance

2. Balance on Invisibles





Balance of Trade (BOT)

- It is the difference between the value of exports and the value of imports of goods of a country in a given period of time.
- Export of goods is entered as a credit item in Balance of Trade (BOT), whereas import of goods is entered as a debit item in Balance of Trade (BOT). It is also known as Trade Balance.
- Balance of Trade (BOT) is said to be in balance when exports of goods are equal to the imports of goods. Surplus BOT or Trade surplus will arise if country exports more goods than what it imports. Whereas, Deficit BOT or Trade deficit will arise if a country imports more goods than what it exports.

Balance on Invisibles

- Net Invisibles is the difference between the value of exports and value of imports of invisibles of a country in a given period of time.
- Invisibles include services, transfers and flows of income that take place between different countries.
- Services trade includes both factor and non-factor income. Factor income includes net international earnings on factors of production (like land, labour and capital). Non-factor income is net sale of service products like shipping, banking, tourism, software services, etc.

Capital Account

- Financial transactions consisting of direct investment and purchases of interest-bearing financial instruments, non-interest bearing demand deposits and gold fall under the capital account
 - Capital Account records all international transactions of assets. An asset is any one of the forms in which wealth can be held, for example, money, stocks, bonds, Government debt, etc.
- Balance on Capital Account**
- Capital account is in balance when capital inflows (like receipt of loans from abroad, sale of assets or shares in foreign companies) are equal to capital outflows (like repayment of loans, purchase of assets or shares in foreign countries).
 - Surplus in capital account arises when capital inflows are greater than capital outflows, whereas deficit in capital account arises when capital inflows are lesser than capital outflows.
- Balance of Payments Disequilibrium**
- The BoP is said to be balanced when the receipts (R) and payments (P) are just equal
 $R / P = 1$
 - Favorable BoP: When receipts exceed payments, the BoP is said to be favorable.
 That is, $R / P > 1$
 - Unfavorable BOP: When receipts are less than payments, the BoP is said to be unfavorable or adverse. That is $R / P < 1$



EXCHANGE RATE

Definition of FOREX

□ FOREX is the system or process of converting one national currency into another, and of transferring money from one country to another.

FOREX Reserves

□ The total foreign currencies (of different countries) an economy possesses at a point of time is its 'foreign currency assets/reserves'.

□ The FOREX Reserves of an economy is its 'foreign currency assets' added with its gold reserves, SDRs (Special Drawing Rights) and Reserve Tranche Position (RTP) in the IMF

Foreign exchange market

□ The market in which national currencies are traded for one another is known as the foreign exchange market.

□ The major participants in the foreign exchange market are commercial banks, foreign exchange brokers and other authorised dealers and monetary authorities.

Rate of Exchange

□ The price of one currency in terms of another currency is known as the foreign exchange rate or simply the exchange rate.

□ The transactions in the exchange market are carried out at exchange rates. It is the external value of domestic currency. Thus, exchange rate may be defined as the price paid in the home currency (say ₹ 72) for a unit of foreign currency (say 1 US \$).

Types of Exchange Rate Systems

□ There are two major exchange rate systems, namely,

(1) Fixed (or pegged) exchange rate system and

(2) Flexible (or floating) exchange rate system.

□ Managed Floating Exchange Rate system also prevails in some countries (Example: India)

Fixed Exchange Rates



□ Countries following the fixed exchange rate (also known as stable exchange rate and pegged exchange rate) system agree to keep their currencies at a fixed rate as determined by the Government. Under the gold standard, the value of currencies was fixed in terms of gold.

Flexible Exchange Rates

□ Under the flexible exchange rate (also known as floating exchange rate) system, exchange rates are freely determined in an open market by market forces of demand and supply

Determinants of Exchange Rates

1. Differentials in Inflation

□ Inflation and exchange rates are inversely related. A country with a consistently lower inflation rate exhibits a rising currency value, as its purchasing power increases relative to other currencies

2. Public Debt

□ Large public debts are driving out foreign investors, because it leads to inflation. As a result, exchange rate will be lower.

3. Current Account Deficits

□ A deficit in the current account implies excess of payments over receipts. The country resorts to borrowing capital from foreign sources to make up the deficit. Excess demand for foreign currency lowers a country's exchange rate

4. Recession

□ Interest rates are low during the recession phase. This will decrease inflow of foreign capital. As a result, a currency will be depreciated against other currencies, thereby lowering the exchange rate.

APPRECIATION

□ An appreciation means an increase in the value of a currency against other foreign currency.

□ An appreciation makes exports more expensive and imports cheaper.

DEPRECIATION

□ In foreign exchange market, it is a situation when domestic currency loses its value in front of a foreign currency if it is market-driven.



□ It means depreciation in a currency can only take place if the economy follows the floating exchange rate system.

DEVALUATION

□ In the foreign exchange market when exchange rate of a domestic currency is cut down by its government against any foreign currency, it is called devaluation. It means official depreciation is devaluation.

REVALUATION

□ A term used in foreign exchange market which means a government increasing the exchange rate of its currency against any foreign currency. It is official appreciation.

Important Terms

SOFT CURRENCY

□ A term used in the foreign exchange market which denotes the currency that is easily available in any economy in its FOREX market. For example, rupee is a soft currency in the Indian FOREX market.

HARD CURRENCY

□ Hard currency, safe-haven currency or strong currency is any globally traded currency that serves as a reliable and stable store of value.

□ The strongest currency of the world is one which has a high level of liquidity.

□ Some of the best hard currencies of the world today are the US Dollar, the Euro(€), Japanese Yen (¥) and the UK Sterling Pound (£).

CHEAP CURRENCY

□ The term was first used by the economist J. M. Keynes (1930s).

□ If a government starts re-purchasing its bonds before their maturities (at full-maturity prices) the money which flows into the economy is known as the cheap currency, also called cheap money.

□ In the banking industry, it means a period of comparatively lower/softer interest rates regime

HOT CURRENCY

□ Hot currency is a term of the FOREX market and is a temporary name for any hard currency



□ When any hard currency is exiting from any economy at a fast pace, at the time that hard currency is said as hot currency

HEATED CURRENCY

□ A term used in the FOREX market to denote the domestic currency which is under pressure of depreciation due to a hard currency high tendency of exiting the economy. It is also known as currency under heat or under hammering.

DEAR CURRENCY

□ When a government issues bonds, the money which flows from the public to the government or the money in the economy in general is called dear currency, also called as dear money.

□ In the banking industry, it means a period of comparatively higher/costlier interest rates regime

Foreign Direct Investment (FDI)

□ FDI is an important factor in global economy. Foreign trade and FDI are closely related.

□ FDI means an investment in a foreign country that involves some degree of control and participation in management. It corresponds to the investment made by a multinational enterprise in a foreign country. It is different from portfolio investment, which is primarily motivated by short term profit and it does not seek management control.

□ Foreign Portfolio Investment (FPI) means the entry of funds into a nation where foreigners deposit money in a nation's bank or make purchase in the stock and bond markets, sometimes for speculation. FPI is part of the capital account of BoP.

□ Foreign Institutional Investment (FII) is an investment in hedge funds, insurance companies, pension funds and mutual funds. Foreign institutional investment is a common term in the financial sector of India

FDI in India

□ In India, FDI has been advantageous in terms of free flow of capital, improved technology, management expertise and access to international markets.

□ FDI in India is allowed under Automatic Route. does not require prior approval either by the government of India/Reserve Bank of India

□ The major sectors benefited from FDI in India are financial sector (banking and non-banking), insurance, telecommunication, hospitality and tourism, pharmaceuticals and software and information technology.

□ Following sectors are prohibited for FDI

1. Lottery Business

2. Gambling and betting





3. The business of chit fund
4. Nidhi Company
5. Trading in transferable development rights (TDRs)
6. Atomic Energy

HUMAN DEVELOPMENT IN INDIA

HUMAN DEVELOPMENT INDEX

□ United Nations Development Programme has been publishing Human Development Report annually since 1990. HDI helped the government to the real uplifting of standard of living of the people.

□ HDI was developed by the Pakistani Economist Mahbub ul Haq and the Indian Economist Amartya Sen in 1990 and was published by the United Nations Development Programme (UNDP).

□ HDI is constructed based on Life Expectancy Index, Education Index and GDP Per Capita

□ HDI is based on the following three indicators

1. Longevity is measured by life expectancy at birth
2. Educational attainments
3. Standard of living, measured by real GDP per capita

Dimension Index = $(\text{Actual value} - \text{Minimum value}) / (\text{Maximum value} - \text{Minimum value})$

□ The performance in each dimension is expressed as a value between 0 and 1 by applying the following formula:

□ As per latest Human Development Report (2019) by the United Nations Development Programme (UNDP), India has been ranked 129th out of 189 countries. Out of 189 countries, India lies in Medium Human Development bracket

□ Top three countries of HDI 1. Norway (0.954)

2. Switzerland (0.946)

3. Ireland (0.942)

□ In the Gender Inequality Index (GII), India is ranked 122 out of 162 countries. India's neighbor's China (39), Sri Lanka (86), Bhutan (99), Myanmar (106) were placed above India in the Index

□ Promoting Inclusive Growth

□ The focus of the Indian development planning has been on the formulation of programmes and policies aimed at bringing the 'marginalised and poor sections' of society into the mainstream.

□ The Pradhan Mantri Jan Dhan Yojna (PMJDY) launched in August 2014 and the RuPay Card, are important schemes for financial inclusion. These two schemes are complementary and will enable the achievement of multiple objectives such as financial inclusion, insurance penetration, and digitalisation.

□ The Government of India has always given priority to employment generation and employability improvement. Various steps have been taken for 'generating employment' in the country like encouraging private sector of the economy, fast-tracking various projects





involving substantial investment and increasing public expenditure on schemes such as Prime Minister's Employment Generation Programme (PMEGP), Mahatma Gandhi National Rural Employment Guarantee Scheme (MGNREGS), Pt. Deen Dayal Upadhyaya Grameen Kaushalya Yojana (DDU-GKY) and Deendayal Antodaya Yojana-National Urban Livelihoods Mission (DAY-NULM).

Poverty

A condition in which section of society is unable to fulfil its basic necessities of life.

It is of two types-

- (a) Absolute Poverty
- (b) Relative Poverty

Introduction

WTO is an international organization set up in 1995 by replacing the General Agreement on Trade and Tariffs (GATT) under the Marrakesh Agreement.

It is the only global international organization dealing with international trade between nations.

Its HQ is located in Geneva, Switzerland.

Currently, WTO has 164 members and India is a founding member of WTO.

Indian trade economy met and adopted a new hemisphere where LPG was introduced. LPG is the acronym for Liberalization, Privatization, and Globalization. The Government of India was aware of the world trade economy, which was free of any obstacles and ran smoothly.

To install the same in our country, the Indian Government loosened its control on international trade and capital, took steps to hand over the sick public sector units to the private entities, and boosted the growth of interdependence on the world trade economy.

In short, the Indian Government took an advent to introduce LPG in our economy, which opened our economy to the world trade centre that helped in harnessing abundant wealth, talent, fame, and honour to our country.

LPG is the subject matter to be dealt with in this section. We will understand what agitated the reform of LPG and how it is progressing in the present Indian era.



Liberalization, Privatisation, and Globalisation

India's economy in the early nineties faced a major crisis, followed by a foreign exchange crunch that pushed the economy down. The country exhausted its foreign exchange reserves. To face the crisis, the government came up with new adjustments in the economy by bringing new reforms.

These reforms were known as 'structural adjustments'. The government announced a New Economic Policy on July 24, 1991. This new model of economic reforms is commonly known as the LPG or Liberalisation, Privatisation, and Globalisation model.

The main objective was to put the Indian economy into the arena of “Globalization” and to give it a new thrust on market orientation. The policy was intended to move towards a higher [economic growth](#) rate and to build sufficient foreign exchange reserves.

Liberalization

Liberalization removes state control over economic activities. It provides better autonomy to the businesses in decision-making without government interference. It was assumed that the market forces of demand and supply would operate automatically to derive a better efficiency and economic health will recover.

Internally, this was enacted by bringing reforms in the real and financial sectors and externally by releasing foreign exchange and trade from state governments grip. In 1991, India met with an economic crisis relating to its external debt — the government was not able to make repayments on its borrowings from abroad as the foreign exchange reserves were exhausted.

Privatization

It means withdrawing the ownership or management of a government enterprise. Government companies are converted into private companies in two ways

Government is shredded from the ownership or management of the public-sector companies. by the blatant sale of public sector companies.

Privatization is the transfer of the control and ownership of businesses from the public sector to the private sector. It means a decline in the role of the government as the property rights shaft from public to private.

The public sector enterprises had been experiencing challenges, since planning, such as low efficiency, low profitability, growing losses, political interference, lack of autonomy, labour



issues, etc. Therefore, to address this situation government introduced privatisation in the economy.

Conditions to be met before Privatisation

Liberalization and deregulation of the economy are major prerequisites for privatization to set foot.

Capital markets should be developed to bear the brunt of disinvested public sector shares.

Globalization

Globalization can be defined as the integration of the national economy with the world economy. It enables a free flow of information, technology, goods and services, capital investments, and even people across different countries. It brings the trade, investments, and markets from various countries under one umbrella. It promotes a more lucid economy.

MSME'S:

As per the Micro, Small & Medium Enterprises Development (MSMED) Act, 2006 MSMEs are defined in terms of capital investment made in plant and machinery, excluding investments in land and building.

The **proposed new definition** of MSMEs is **based on annual turnover, rather than investment size** which is more in line with the imposition of Goods and Services Tax.

Under the new nomenclature, there would be no difference between a manufacturing and service unit.

New Classification of MSMEs (Annual Turnover basis)

Micro Enterprise: Annual turnover of less than Rs 5 crore;

Small Enterprise: Annual turnover between Rs 5 crore and Rs 75 crore;

Medium Enterprise: Annual turnover of less than Rs 250 crore.

Rationale behind New Classification:

The existing criterion on the basis of capital investment made in plant and machinery was criticised because credible and precise details of investments were not easily available to authorities.

Benefits

This new classification eliminates the frequent inspections to check the investment in plant and machinery; earlier required by authorities.





It is a non-discriminatory, transparent and objective criterion.

Importance of MSMEs for Indian Economy:

According to **Annual Report of the Department of MSMEs (2018-19)**, there are **34 crore** MSMEs in the country.

Around **51 percent** of these are situated in **rural India** they employ a little over 11 crore people meanwhile **55 percent** of the employment happens in the urban MSMEs.

The MSME sector currently contributed **24% of the GDP growth and 48% of exports**, with an annual turnover of ₹1 lakh crore in FY20.

MSME sector with its vast range of enterprises holds the key to **harness the Demographic Dividend**.

Small Industries **reduces poverty, provides more employment at lesser capital costs** compared to large enterprises and facilitates learning across the sectors as well as geographically.

Exports: 45% of the overall exports from India are contributed by MSMEs.

Inclusive growth: MSMEs empowers marginalised strata of society by giving them livelihood which promotes inclusive growth.

Financial inclusion: Small industries & retail businesses in tier-II and tier-III cities opens up opportunities for people to use banking services and products which also pushes for more usage of Fin-tech companies.

Promote innovation: Provides opportunities for budding entrepreneurs to build creative products, boost business competition and fuels growth.

RESERVE BANK OF INDIA

☐ The Reserve Bank of India was established on April 1, 1935, in accordance with the provisions of the Reserve Bank of India Act, 1934.

☐ The Central Office of the Reserve Bank was initially established in Kolkata but Headquarter moved from Calcutta to Mumbai in 1937

☐ Osborne Smith was the first Governor of Reserve Bank of India

☐ RBI was Nationalised on 1 January 1949

Administration

☐ RBI has four zonal offices: New Delhi for North, Chennai for South, Kolkata for East, and Mumbai for West

☐ The Central Board consists of:





Governor

o4 Deputy Governors

o2 Finance Ministry representatives

o4 directors to represent local boards headquartered at Mumbai, Kolkata, Chennai, and New Delhi

□Governors and 4 Deputy Governors along with the central board of directors are appointed by the Government of India.

□The only Prime Minister who was the Governor of RBI was Manmohan Singh.

□The Reserve bank is referred to by the name 'Mint Street'.

Functions of Reserve Bank of India Monetary Authority

□It controls the supply of money in the economy to stabilize exchange rate, maintain healthy balance of payment, attain financial stability, control inflation, strengthen banking system

The issuer of currency

□The objective is to maintain the currency and credit system of the country. It is the sole authority to issue currency (Except the currency and coins of one rupee or its denominations, which are issued by Ministry of Finance). It also takes action to control the circulation of fake currency

The issuer of Banking License

□As per Section 22 of the Banking Regulation Act, 1949, every bank has to obtain a banking license from RBI to conduct banking business in India.

Banker's Bank

□RBI is the bank of all banks in India as it provides loan to banks, accept the deposit of banks, and rediscount the bills of banks.

Banker to the Government

□It acts as banker both to the central and the state governments. It provides short-term credit. It manages all new issues of government loans, servicing the government debt outstanding and nurturing the market for government securities.

□It advises the government on banking and financial subjects.

Lender of last resort

□The banks can borrow from the Reserve Bank of India by keeping eligible securities as collateral at the time of need or crisis, when there is no other source.

Act as clearing house

For the settlement of banking transactions, RBI manages 14 clearing house. It facilitates the exchange of instruments and processing of payment instructions.



Custodian of foreign exchange reserves

- RBI acts as a custodian of FOREX. It administers and enforces the provision of Foreign Exchange Management Act (FEMA), 1999.
- RBI buys and sells foreign currency to maintain the exchange rate of Indian rupee v/s foreign currencies. Keeping the Forex (foreign exchange) reserves of the country
- RBI representing the Government of India in the IMF and World Bank (and other international financial agencies of which India is member).

Regulator of Economy

- It controls the money supply in the system, monitors different key indicators like GDP, Inflation, etc.
- Regulator and Supervisor of Payment and Settlement Systems
- The Payment and Settlement Systems Act of 2007 (PSS Act) gives RBI oversight authority for the payment and settlement systems in the country.
 - RBI focuses on the development and functioning of safe, secure and efficient payment and settlement mechanisms.
 - The objective is maintaining public confidence in payment and settlement system.

Banking Ombudsman Scheme

- RBI introduced the Banking Ombudsman Scheme in 1995. Under this scheme, the complainants can file their complaints in any form, including online and can also appeal to the Ombudsman against the awards and the other decisions of the Banks.

Publisher of monetary data and other data

- RBI maintains and provides all essential banking and other economic data, formulating and critically evaluating the economic policies in India. RBI collects, collates and publishes data regularly.

Developmental Functions

- This role includes the development of the quality banking system in India and ensuring that credit is available to the productive sectors of the economy. It provides a wide range of promotional functions to support national objectives..
- It also includes establishing institutions designed to build the country's financial infrastructure. Playing this role, RBI did set up developmental banks like—IDBI, SIDBI, NABARD, NEDB (North Eastern Development Bank), Exim Bank, NHB.



MUDRA (Micro Units Development and Refinance Agency)

- Pradhan Mantri MUDRA Yojana (PMMY) is a scheme launched by the Hon'ble Prime Minister on April 8, 2015 for providing loans non-corporate, non-farm small/micro-enterprises.
- These loans are classified as MUDRA loans under PMMY. These loans are given by Commercial Banks, RRBs, Small Finance Banks, MFIs and NBFCs.
- The products designed under it are categorized into three buckets of finance named Shishu (loan up to ₹50,000), Kishor (₹50,000 to ₹5 lakh) and Tarun (₹5 lakh to ₹10 lakh).
- The scheme's objective is to refinance collateral-free loans given by the lenders to small borrowers
- Though the scheme covers the traders of fruits and vegetables, in general, it does not refinance the agriculture sector.

(Non-Banking Financial Companies) NBFCs

- A non-bank financial company (NBFC) is a financial institution that does not have a full banking license or is not supervised by the central bank.
- NBFCs can be broadly classified into two categories. Viz., (1) Stock Exchange; and (2) Other Financial institutions. Under the latter category comes Finance Companies, Finance Corporations, ChitFunds, Building Societies, Issue Houses, Investment Trusts and Unit Trusts and Insurance Companies.
- It is company under companies Act, 1956
- It is engaged in the business of loans and advances, acquisition of bonds/debentures/securities issued by Government or local authority or other marketable securities, leasing, hire-purchase, insurance business, chit business but does not include any institution whose principal business is that of agriculture activity, industrial activity, purchase or sale of any goods or providing any services and sale or purchase of immovable property
- It cannot have demand deposits like current and saving accounts

NABARD (A National Bank for Agriculture and Rural Development)

- NABARD was established on the recommendation of B.Sivaramman Committee on 12 July 1982
- NABARD set up in July 1982 by an Act of parliament to take over the functions of ARDC and the refinancing functions of RBI in relation to co-operative banks and RRBs
- NABARD is linked organically with the RBI by the latter contributing half of its share capital the other half being contributed by the Government of India.
- Deputy Governor of RBI is appointed as Chairman of NABARD.



Functions of NABARD

- NABARD acts as a refinancing institution for all kinds of production and investment credit to agriculture, small-scale industries, cottage and village industries, handicrafts and rural crafts and real artisans and other allied economic activities with a view to promoting integrated rural development.
- It provides short-term, medium-term and long-term credits to state co-operative Banks (SCBs), RRBs, LDBs and other financial institutions approved by RBI
- NABARD has the responsibility of coordinating the activities of Central and State Governments, the NITI Aayog and other all India and State level institutions entrusted with the development of small scale industries, village and cottage industries, rural crafts, industries in the tiny and decentralized sectors, etc.
- It has the responsibility to inspect RRBs and co-operative banks, other than primary co-operative societies.
- It maintains a Research and Development Fund to promote research in agriculture and rural development

Pradhan Mantri Jan-Dhan Yojana

- To achieve the objective of financial inclusion by extending financial services to the large hitherto unserved population of the country and to unlock its growth potential, the Pradhan Mantri Jan-Dhan Yojana (PMJDY) was launched on 28 August 2014.

PUBLIC FINANCE IN INDIA

Public finance is a study of the financial aspects of Government. It is a branch of economics which deals with government revenue and government expenditure

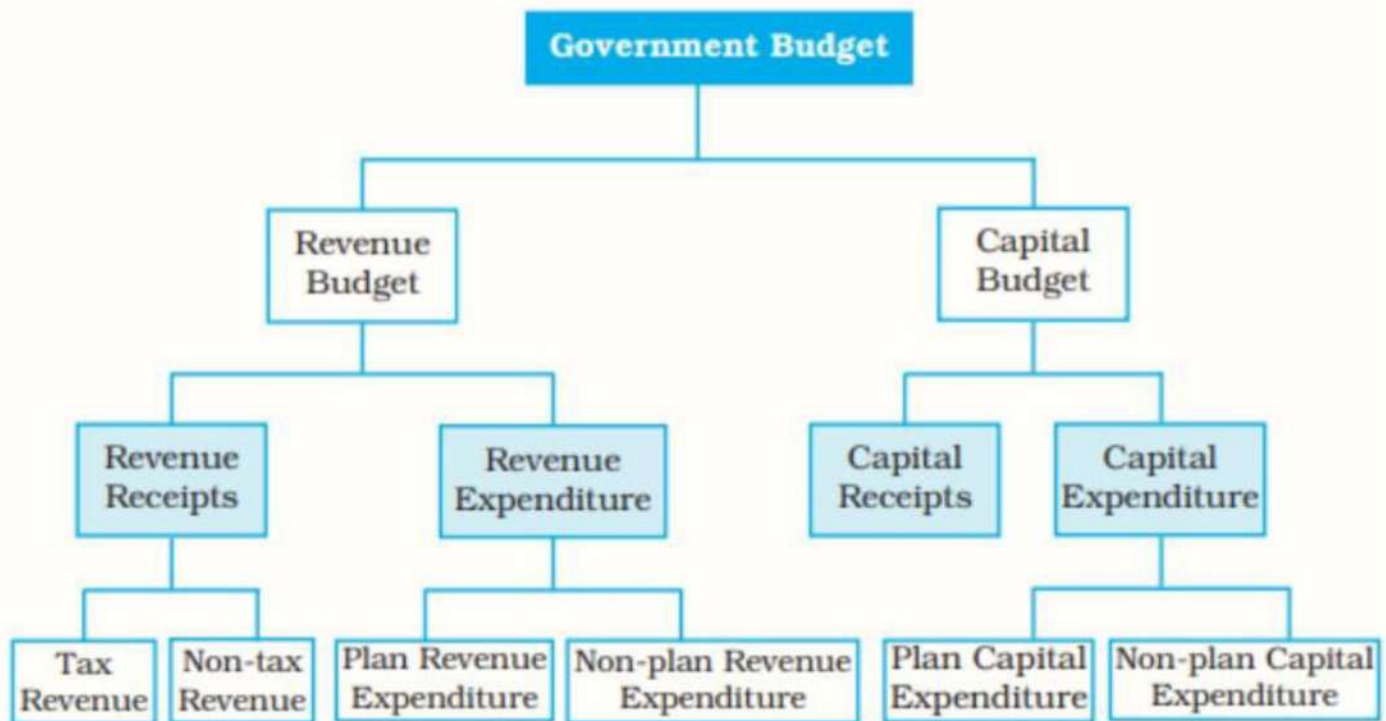
Public finance gets the reference in the ancient treatise Arthashastra of Kautilya which covers 'treasury, sources of revenue, accounts and audit' in a very detailed way.

Budget

The budget is an annual financial statement which shows the estimated income and expenditure of the Government for the forthcoming financial year.



India is a federal economy; hence public budget is divided into two layers of the Government. According to the Indian Constitution, the Central Government has to submit annual financial statement, i.e., Union Budget under Article 112 to the Parliament and each State Government has to submit the same for the State in the Legislative Assembly under Article 202.



On the basis of expenditure on revenue account and other accounts, a budget can be presented in two ways:

Revenue Budget:

It consists of revenue receipts and revenue expenditure. Moreover, the revenue receipts can be categorised into tax revenue and non-tax revenue. Revenue expenditure can also be categorised into plan revenue expenditure and non-plan revenue expenditure.

Capital Budget:

It consists of capital receipts and capital expenditure. In this case, the main sources of capital receipts are loans, advances etc. On the other side capital expenditure can be categorised into plan capital expenditure and non-plan capital expenditure.



Revenue Receipts

Revenue receipts are those receipts that do not lead to a claim on the government. They are therefore termed non-redeemable. They are divided into tax and non-tax revenue.

Tax revenues, an important component of revenue receipts. The types of taxes are Direct taxes -Personal income tax, Corporation tax, wealth tax, gift tax, etc.

Indirect taxes-customs duties (taxes imposed on goods imported into and exported out of India), GST, etc.

Non-tax revenue of the government mainly consists of interest receipts on account of loans by the central government, dividends and profits on investments made by the government, fees and other receipts for services rendered by the government. Cash grants-in-aid from foreign countries and international organisations are also included.

Revenue Expenditure

Revenue Expenditure is expenditure incurred for purposes other than the creation of physical or financial assets of the government. It relates to those expenses incurred for the normal functioning of the government departments and various services, interest payments on debt incurred by the government, and grants given to state governments and other parties.

Budget documents classify total expenditure into plan and non-plan expenditure
Plan revenue expenditure related to central Plans (the Five Year Plans) and central assistance for State and Union Territory plans.

Non-plan revenue expenditure, the more important component of revenue expenditure, covers a vast range of general, economic and social services of the government. The main items of non-plan expenditure are interest payments, defence services, subsidies, salaries and pensions.

Capital Receipts

All non-revenue receipts of a government are known as capital receipts.

The government receives money by way of loans or from the sale of its assets. Loans will have to be returned to the agencies from which they have been borrowed. Thus they create liability. Sale of government assets, like sale of shares in Public Sector Undertakings (PSUs) which is referred to as PSU disinvestment, reduce the total amount of financial assets of the government. All those receipts of the government which create liability or reduce financial assets are termed as capital receipts (Provident fund (PF), Postal Deposits, various small saving schemes and the government bonds sold to the public).





Capital Expenditure

There are expenditures of the government which result in creation of physical or financial assets or reduction in financial liabilities. This includes expenditure on the acquisition of land, building, machinery, equipment, investment in shares, and loans and advances by the central government to state and union territory governments, PSUs and other parties.

Capital expenditure is also categorised as plan and non-plan in the budget documents. Plan capital expenditure, like its revenue counterpart, relates to central plan and central assistance for state and union territory plans.

Non-plan capital expenditure covers various general, social and economic services provided by the government.

Balanced, Surplus and Deficit Budget

The government may spend an amount equal to the revenue it collects. This is known as a balanced budget. Government's estimated Revenue = Government's proposed Expenditure.

Surplus Budget

The budget is a surplus budget when the estimated revenues of the year are greater than anticipated expenditures.

Government Estimated revenue > Estimated Government Expenditure

Deficit Budget
Deficit budget is one where the estimated government expenditure is more than expected revenue.

Government estimated Revenue < Government proposed Expenditure.

Budgetary Deficits

When a government spends more than it collects by way of revenue, it incurs a budget deficit. In reference to the Indian Government budget, the budget deficit is of four major types.

- ✓ Revenue Deficit
- ✓ Budget Deficit
- ✓ Fiscal Deficit
- ✓ Primary Deficit
- ✓ Revenue Deficit



The revenue deficit refers to the excess of government's revenue expenditure over revenue receipts

Revenue deficit = Revenue expenditure – Revenue receipts

Budget Deficit
Budget deficit is the difference between total receipts and total expenditure (both revenue and capital)

Budget Deficit = Total Expenditure – Total Revenue



Primary Deficit

Primary deficit is equal to fiscal deficit minus interest payments.

It shows the real burden of the government and it does not include the interest burden on loans taken in the past.

Primary Deficit (PD) = Fiscal deficit (PD) - Interest Payment (IP) Fiscal Deficit

Fiscal deficit is the difference between the government's total expenditure and its total receipts excluding borrowing

Fiscal policy:

Fiscal policy has been defined as the 'the policy of the government with regard to the level of government purchases, the level of transfers, and the tax structure'.

Fiscal policy is also defined as 'changes in government expenditures and taxes that are designed to achieve macroeconomic policy goals'.

As an instrument of macro-economic policy, fiscal policy has been very popular among modern governments. The growing importance of fiscal policy was due to the Great Depression and the development of 'New Economics' by Keynes.

Fiscal Instruments:

Fiscal Policy is implemented through fiscal instruments also called 'fiscal tools' or fiscal levers: Government expenditure, taxation and borrowing are the fiscal tools.

Taxation:

Taxes transfer income from the people to the Government. Taxes are either direct or indirect. An increase in tax reduces disposable income. So taxation should be raised to control inflation. During depression, taxes are to be reduced.

Public Expenditure:

Public expenditure raises wages and salaries of the employees and thereby the aggregate demand for goods and services. Hence public expenditure is raised to fight recession and reduced to control inflation.

Public debt:

- ✓ When Government borrows by floating a loan, there is transfer of funds from the public to the Government. At the time of interest payment and repayment of public debt, funds are transferred from Government to public.

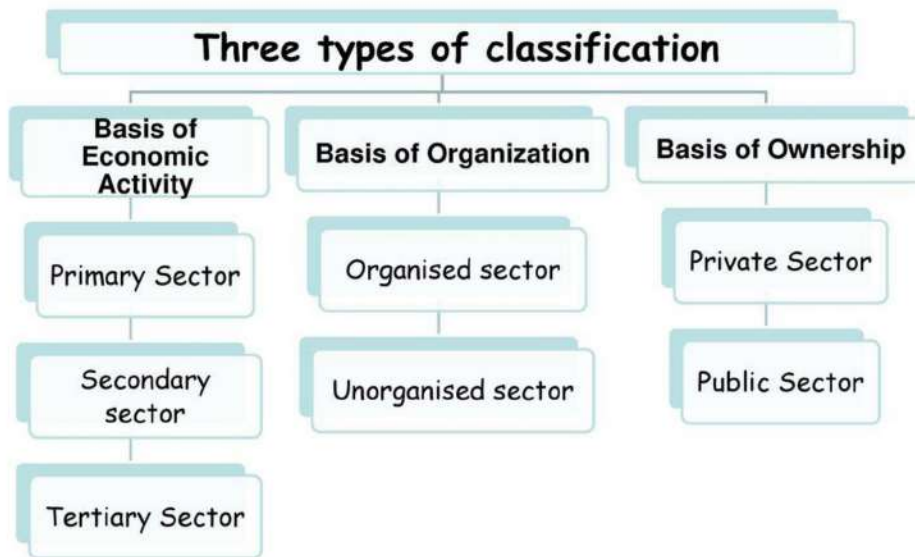
Objectives of Fiscal Policy

- ✓ Full Employment
- ✓ Price stability
- ✓ Economic growth
- ✓ Equitable distribution
- ✓ External stability
- ✓ Capital formation
- ✓ Regional balance

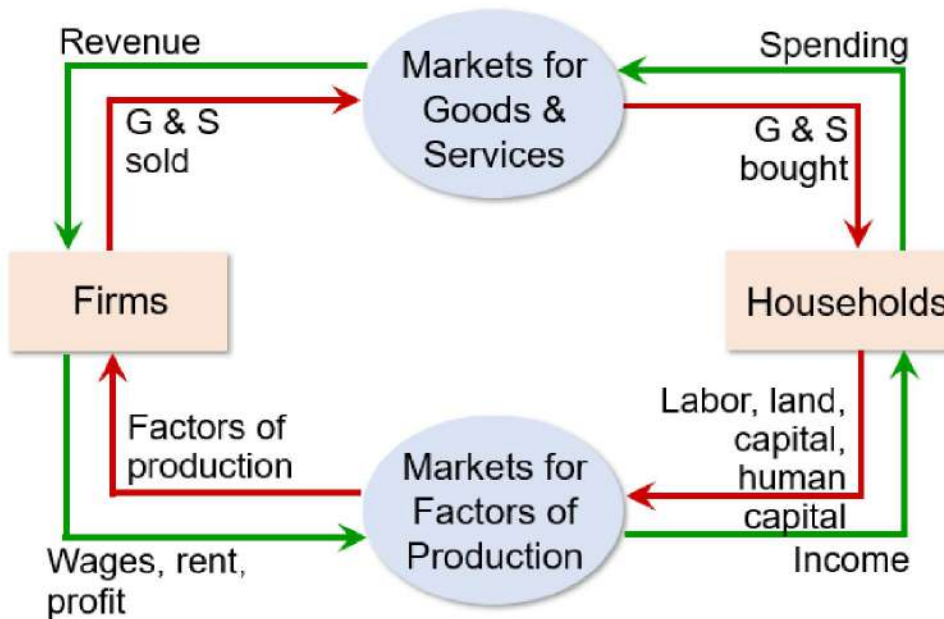
Finance Commission

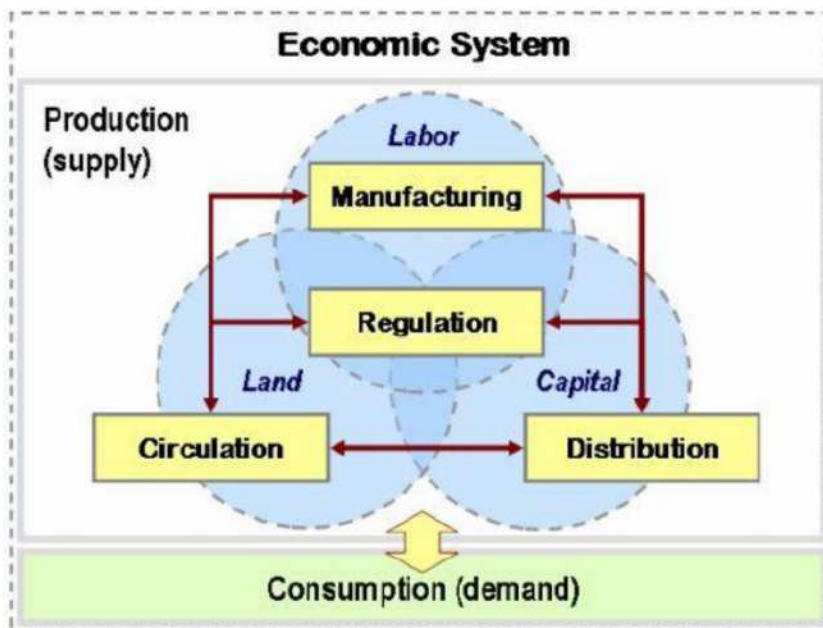
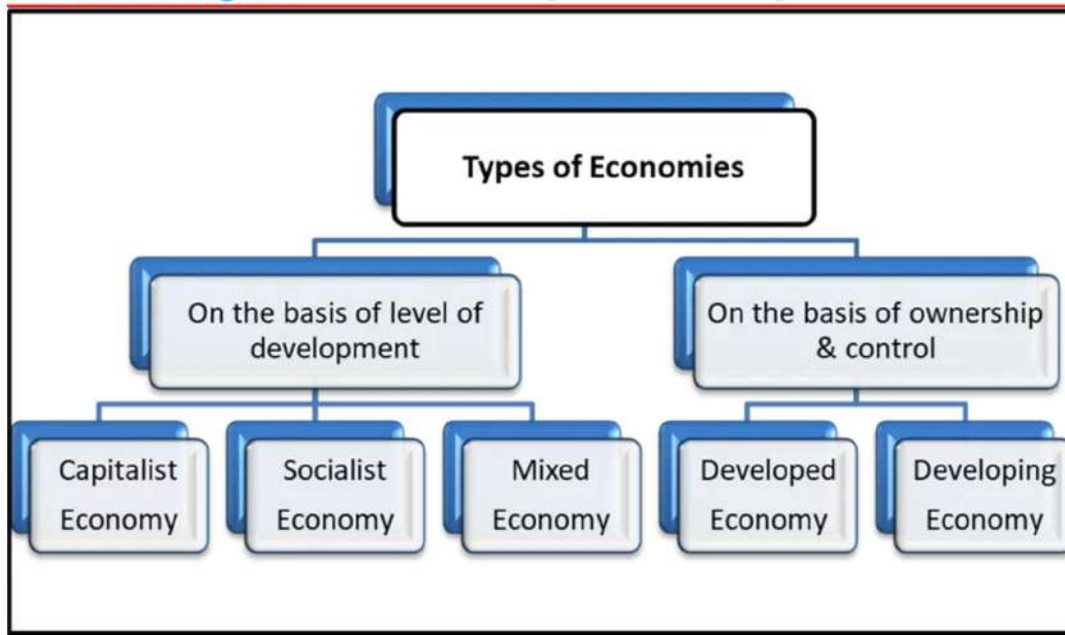
- ✓ Finance commission is a quasijudicial body set up under Article 280 of the Indian Constitution. It was established in the year 1951, to define the fiscal relationship framework between the Centre and the state.
- ✓ Under Article 280 of the Constitution the finance commission to recommend the distribution of the net proceeds of taxes between the Centre and the states every five years.
- ✓ Finance Commission aims to reduce the fiscal imbalances between the centre and the states and also between the states. It promotes inclusiveness.
- ✓ A Finance Commission is set up once in every 5 years. It is normally constituted two years before the period.
- ✓ The 15th Finance Commission has been set up in November 2017.
- ✓ Chairman of 15th finance commission -N. K. Singh

Sectors of Indian Economy



The Circular-Flow Diagram





An **economic system** is the combination of the various agencies, entities that provide the economic structure that guides the social community.



Mixed Economic System

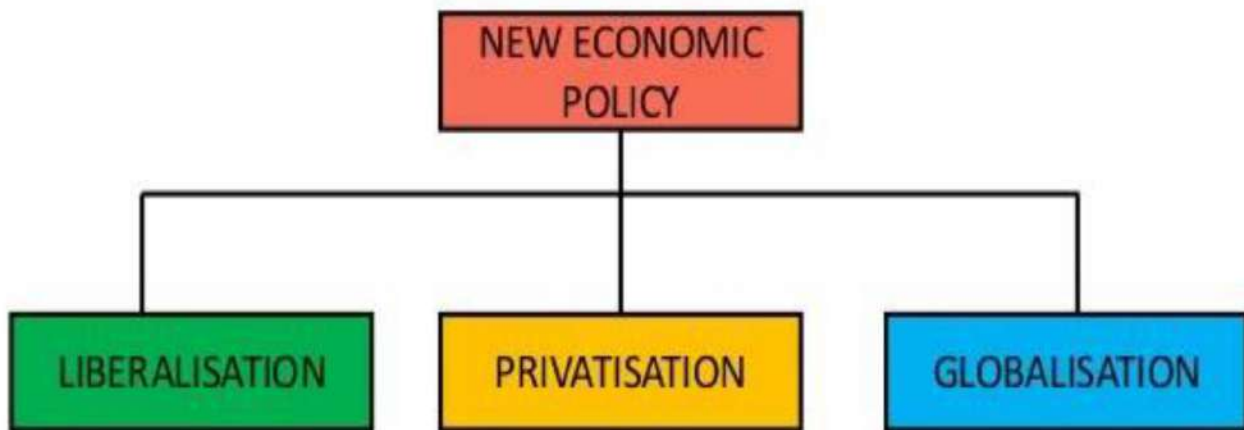
Characteristics



Five Year plans in India

Plan	Year
First Plan	1951-1956
Second Plan	1956-1961
Third Plan	1961-1966
Three Annual Plans	1966-1969
Fourth Plan	1969-1974
Fifth Plan	1974-1979
Sixth Plan	1980-1985
Seventh Plan	1985-1990
Eighth Plan	1992-1997
Ninth Plan	1997-2002
Tenth Plan	2002-2007
Eleventh Plan	2007-2012
Twelfth Plan	2012-2017

BRANCHES OF NEW ECONOMIC POLICY





New Economic Policy, 1991

Something new
(Different from
Earlier Policies
Followed till
1990)

Different
Economic Reforms
& Measures
(Both short
term & long
term)

Policy of **LPG**
Liberalization
Privatization
Globalization

Introduced in 1991
By Indian Govt
(PV Narsimha Rao - PM
Manmohan Singh - FM)

What was New Economic Policy?

New Economic Policy means wide range of reforms introduced by the government in July 1991

Main Objective:

- 1 Creating More Competitive Environment in Economy
- 2 Removing Barriers to Entry and Growth of Firm



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Aspire to Inspire

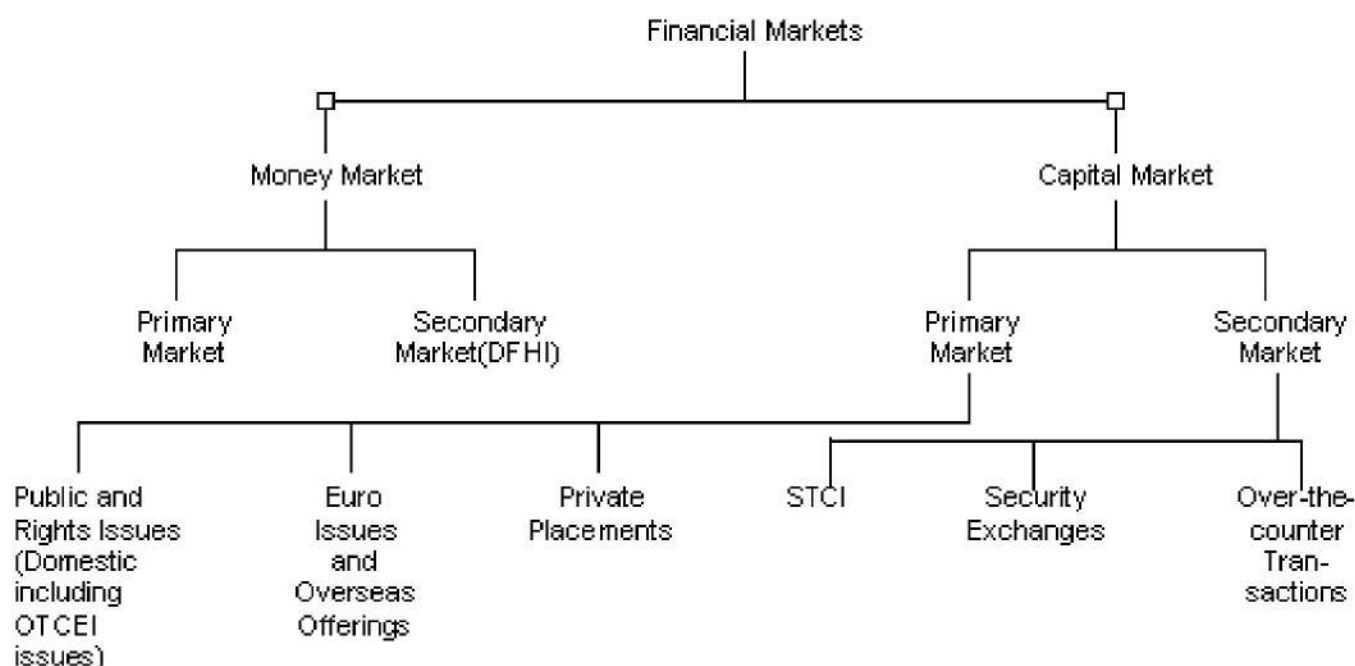
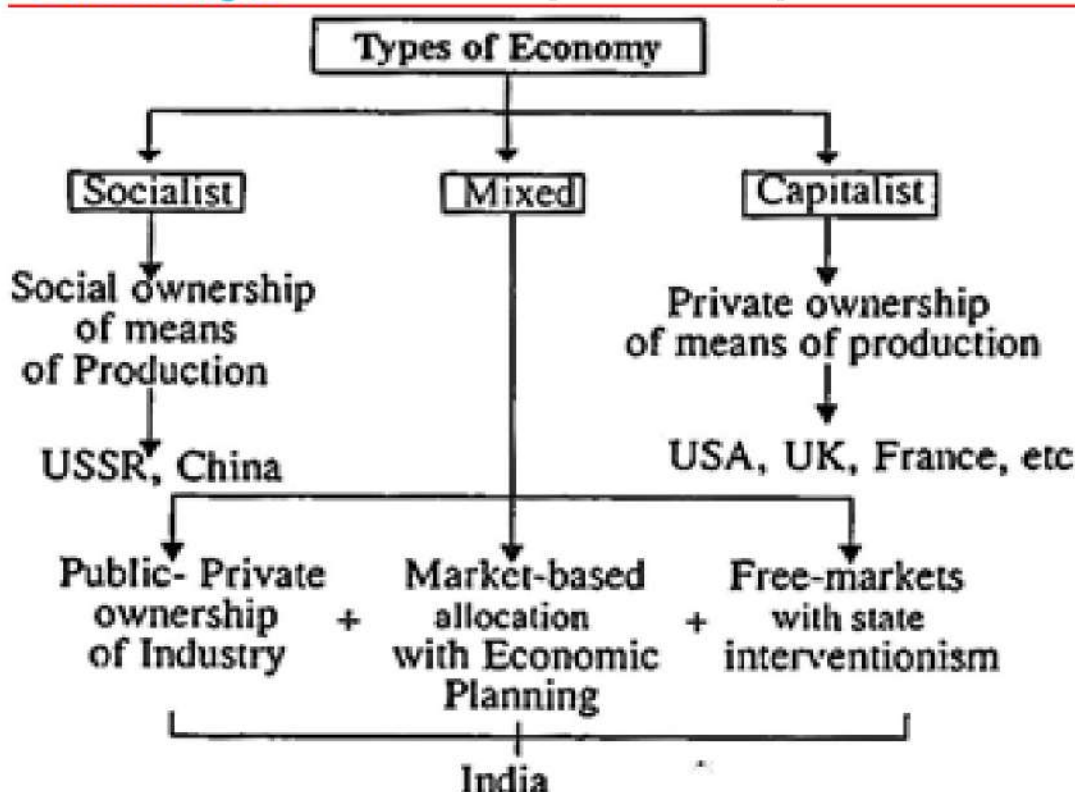
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Facts About India's Economy



India has a mixed economy



Half of the workers rely on agriculture



The cost of living is lower than in the U.S.



The Indian middle class is bigger than the U.S. middle class



It's an attractive country for outsourcing, such as call centers



Bollywood contributes billions to India's GDP

Unable to access education

Hunger and lack of shelter.

Poverty

Lack of regular job

Unable to access medical care



What is Relative Poverty

It is the poverty of people in comparison to other people, regions or nations.

It is found in Capitalist and Mixed Economies where business run by Private sector

What is Absolute Poverty

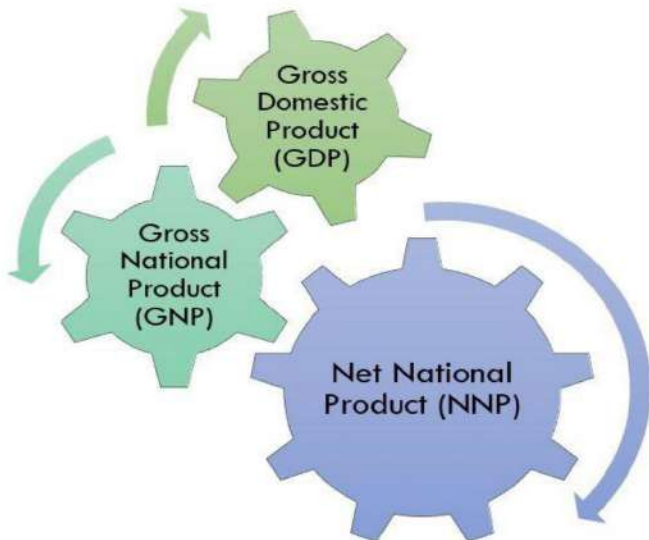
It refers to condition in which income of people is not enough to afford minimum standard of living

It is found in Developing and Underdeveloped Countries

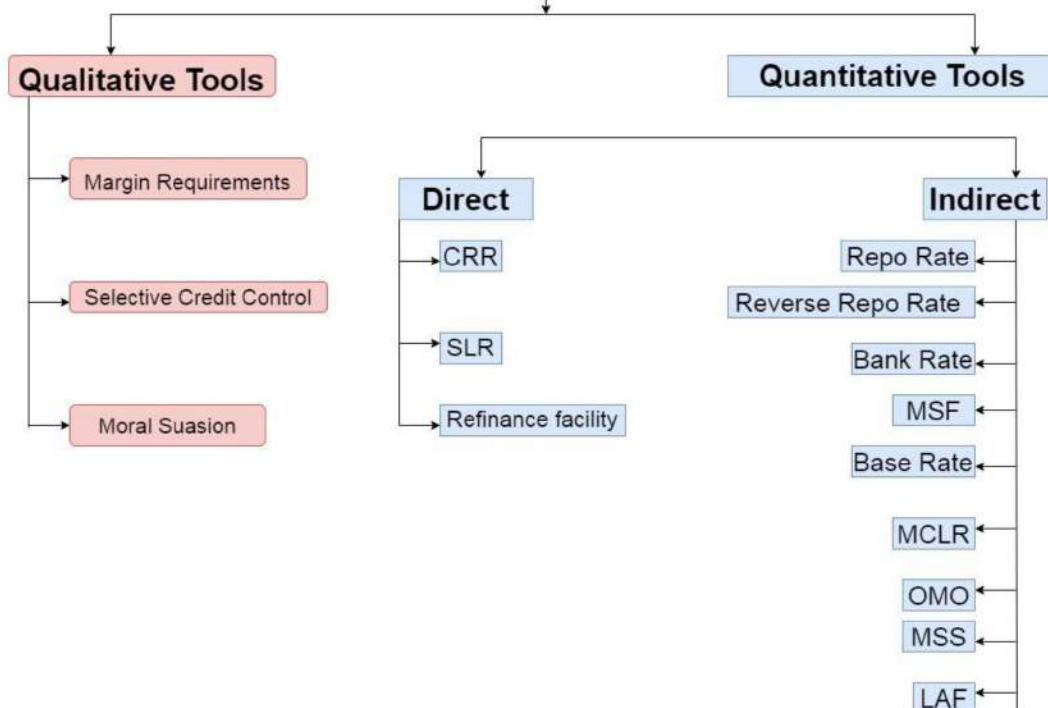
2 types of taxation



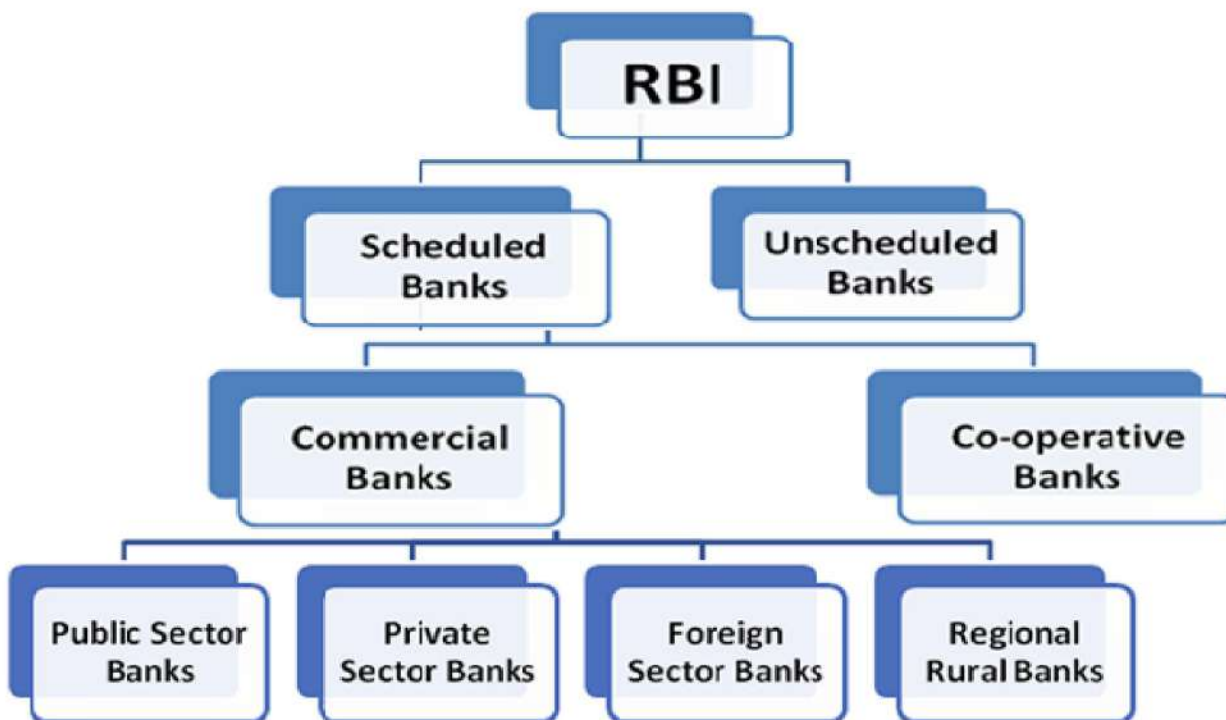
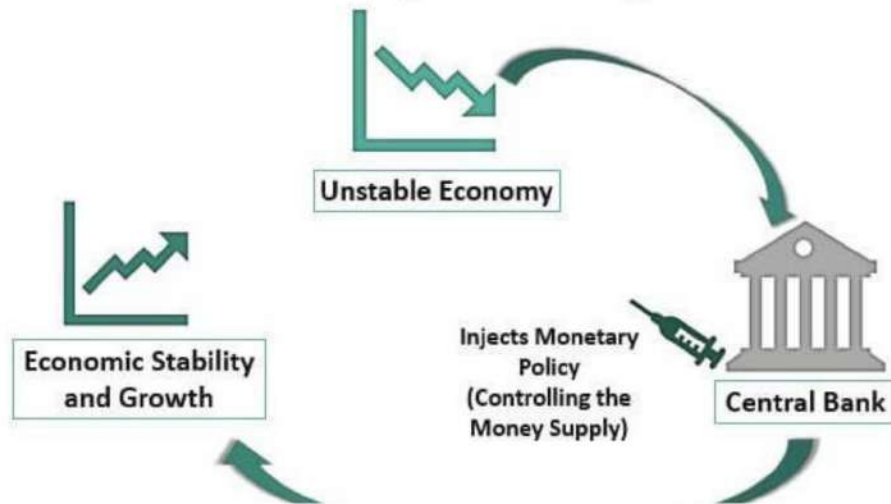
Measures of National Income



Monetary Policy



Monetary Policy





Factors affecting inflation



Deflation – Prices Decline



Money increases purchasing power, and it takes less units of currency to purchase the same units of goods or services.

Money loses its purchasing power, and it takes more units of currency to purchase the same units of goods or services



Inflation – Prices Rise

Stagflation



Inflation



Low GDP



Higher Rate of Unemployment



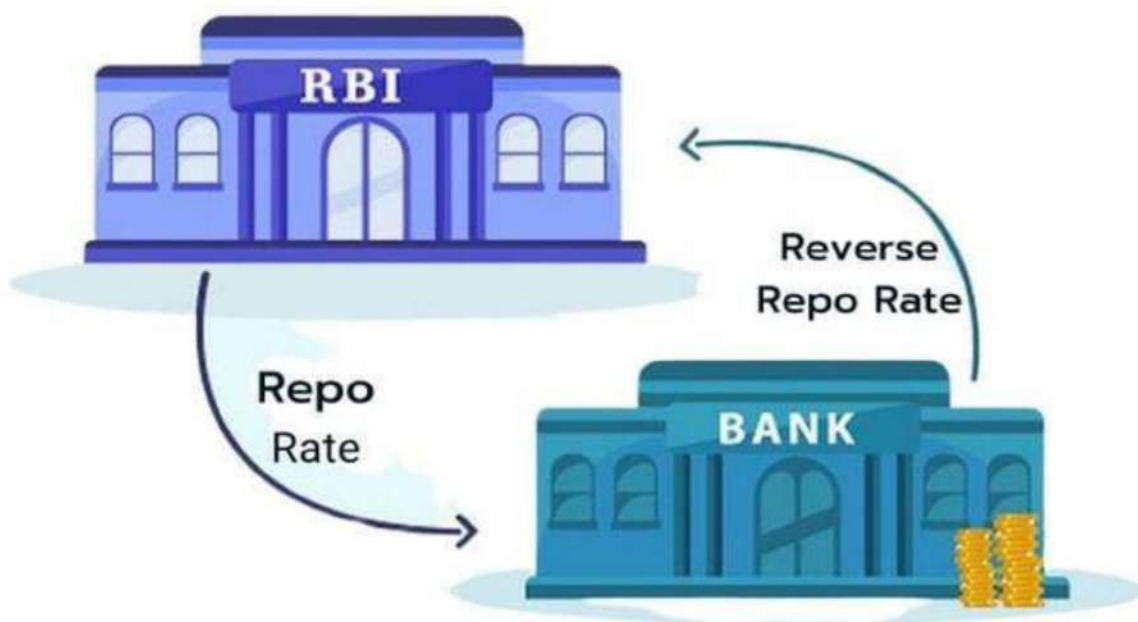
Recession in most of the Economic Activities

Components



Poor Implementation of Government Policies





CAPITAL EXPENDITURE BUDGET

CAPITAL EXPENDITURE (Also Known as CAPEX) is money that a company spends to buy, maintain, upgrade or update its fixed assets.

CRITERIA FOR BUDGETING

QUANTITATIVE

- Includes calculating the IRR, NPV, ARR, Pay Back Period etc.
- This finds out the net benefit accruing over life of the investment.

QUALITATIVE

- Commitment to Quality over the product and services
- Corporate Culture (whether People Centric or not)
- Qualitative Market Research

Revenue Expenditure

○ Examples of Revenue Expenditure

1 Depreciation on a Machinery

2 Cost of Labor

3 Rent paid

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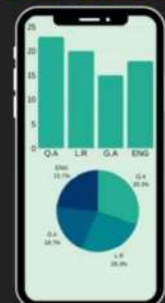


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